

February 11, 2026 04:57 AM GMT

Datadog, Inc. | North America

# 4Q25 Results: Demand for Observability Inflects Heading Into 2026

With the core business accelerating to +23% and high end of FY26 rev guide calling for +20% growth, Datadog now looks like a durable 20%+ grower despite the headwind from OpenAI. With public cloud accelerating and agentic deployments ramping, 2026 should be a banner year for Observability – stay OW

## Key Takeaways

- Revenue growth accelerated to +29% in Q3 (~4% above cons.) reflecting strong demand across geos, product lines and across the customer base
- Growth ex-AI natives accelerated for the 2nd quarter in a row to +23% reflecting a strong demand environment for Observability
- Large deal momentum was on display in Q4, with 18 deals over \$10 million in TCV including 2 over \$100 million and an 8-figure land with a leading model provider
- 2026 revenue growth guidance of +18-20%, while below consensus, points to 20%+ underlying growth as growth ex OpenAI is expected to be at least +20%
- Stay OW as DDOG represents the best way to play the inflection in Observability driven by public cloud acceleration and ramping agentic deployments

**Datadog Our Top Way to Play an Inflecting Observability Market.** Total revenue accelerated to +29% from +28% in Q3 to \$953 million coming in 3.8% ahead of consensus. More importantly, Datadog's core business (ex AI-natives) accelerated for the 2nd quarter in a row to +23% from +20% in Q3. This implies that the contribution from AI-natives came down from ~12% of revenue last quarter to 10% in Q4 likely reflecting the slowdown in OpenAI spend. Strength was seen across geographies, product lines and across the customer base reflecting a strong demand environment for observability and returns on the go-to market investments made over the past year.

## Key Themes from 4Q25

- **Customers Signing Larger Deals for Longer.** Datadog showed significant momentum with large deals in Q4 with 18 deals over \$10 million in total contract value including 2 deals over \$100 million. Bookings grew +37% YoY to \$1.63 billion while RPO grew +52% YoY and cRPO grew +40% YoY.
- **Winning the AI Ecosystem.** The company now has ~650 AI-native customers including 14 of the top 20 AI-natives. As of Q4, 19 of the AI-natives are

MORGAN STANLEY & CO. LLC

Sanjit K Singh

Equity Analyst

Sanjit.Singh@morganstanley.com

+1 415 576-2060

Keith Weiss, CFA

Equity Analyst

Keith.Weiss@morganstanley.com

+1 212 761-4149

Oscar R Saavedra

Research Associate

Oscar.Saavedra@morganstanley.com

+1 212 761-0827

### Datadog, Inc. (DDOG.O, DDOG US)

Software | United States of America

|                                 |                   |               |               |               |
|---------------------------------|-------------------|---------------|---------------|---------------|
| <b>Stock Rating</b>             | <b>Overweight</b> |               |               |               |
| <b>Industry View</b>            | <b>Attractive</b> |               |               |               |
| <b>Price target</b>             | <b>\$180.00</b>   |               |               |               |
| Shr price, close (Feb 10, 2026) | \$129.67          |               |               |               |
| Mkt cap, curr (mm)              | \$42,678          |               |               |               |
| 52-Week Range                   | \$201.69-81.63    |               |               |               |
| <b>Fiscal Year Ending</b>       | <b>12/25</b>      | <b>12/26e</b> | <b>12/27e</b> | <b>12/28e</b> |
| EPS (\$)**                      | 2.06              | 2.12          | 2.54          | 3.41          |
| Prior EPS (\$)**                | 2.01              | 1.98          | 2.50          | 3.35          |
| P/E                             | 290.7             | 320.7         | 161.5         | 75.4          |
| EPS (\$)§                       | 2.03              | 2.36          | 2.88          | 3.70          |
| Div yld (%)                     | -                 | -             | -             | -             |

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

\*\* = Based on consensus methodology

§ = Consensus data is provided by Refinitiv Estimates

e = Morgan Stanley Research estimates

### QUARTERLY EPS (\$)

| Quarter | 2025 | 2026e Prior | 2026e Current | 2027e Prior | 2027e Current |
|---------|------|-------------|---------------|-------------|---------------|
| Q1      | 0.46 | 0.45        | 0.50          | 0.59        | 0.61          |
| Q2      | 0.46 | 0.44        | 0.46          | 0.59        | 0.59          |
| Q3      | 0.55 | 0.53        | 0.56          | 0.65        | 0.65          |
| Q4      | 0.59 | 0.56        | 0.60          | 0.67        | 0.69          |

e = Morgan Stanley Research estimates

Morgan Stanley does and seeks to do business with companies covered in Morgan Stanley Research. As a result, investors should be aware that the firm may have a conflict of interest that could affect the objectivity of Morgan Stanley Research. Investors should consider Morgan Stanley Research as only a single factor in making their investment decision.

**For analyst certification and other important disclosures, refer to the Disclosure Section, located at the end of this report.**

spending more than \$1 million per year. Of note, the company landed an 8-figure annualized deal with a leading AI model provider which we believe to be Anthropic.

- **APM The Fastest Growing of the 3 Pillars.** Management disclosed that infrastructure monitoring crossed \$1.6 billion in ARR while log management is over \$1 billion in ARR with Flex Logs approaching \$100 million in ARR. In addition, the APM suite of products is also \$1+ billion annual business with core APM growth accelerating into the mid 30% and now represents the fastest-growing pillar.

**Guidance Implies 20%+ Growth Despite OpenAI Headwind.** 2026 revenue guidance of \$4,060-\$4,100 million implies growth of +18-20% which was below consensus looking for growth of +21%. Operating margin guidance of 20.7%-21.5% was also well short of consensus of 23.2%. Despite a revenue growth guide that was below consensus, management noted that, excluding OpenAI, growth in the core business would be at least 20%. This suggests that OpenAI grows notably below that of the overall business after growing nearly +200% YoY in 2025, according to our estimates. Assuming average beats for Q1, Q2, Q3, Q4 over the past 3 years and assuming sequential guides throughout 2026 that are inline with 3-year averages, we see a path to mid 20s growth in 2026 despite the significant headwind from OpenAI.

**Remain OW and Reiterate \$180 PT.** We think investor concerns on Datadog's exposure to OpenAI is slowly starting to fade (though probably not completely resolved just yet) given that the core business is accelerating to such a degree that 20%+ revenue growth now looks achievable over the next few years. More importantly, we think 2026 is poised to be a breakout year for the Observability market as the public cloud market is back in acceleration mode reflecting not just AI tailwinds but the return of cloud migration and digital transformation initiatives (see [Key Pillars of Demand on the Upswing; Upgrade to OW](#) and [4Q25 Hyperscaler Results – Cloud Accelerates Yet Again - Reiterate OW on SNOW, MDB & DDOG for 2026](#)). In addition, we think ramping production deployments of agentic apps will likely see high attach for Observability as we think customers will require deep visibility into the actions taken by AI agents. We reiterate our \$180 PT based on a 45x multiple (1.55x growth adjusted) to our CY28 FCF per share estimate of \$4.17, and discount it back one year at an ~11% WACC and add back ~\$12 of net cash per share.

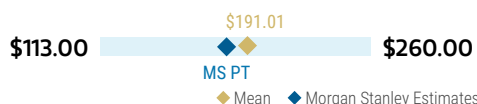
## Risk Reward – Datadog, Inc. (DDOG.O)

Core Growth Improves as Digital & Cloud Migration Initiatives Return

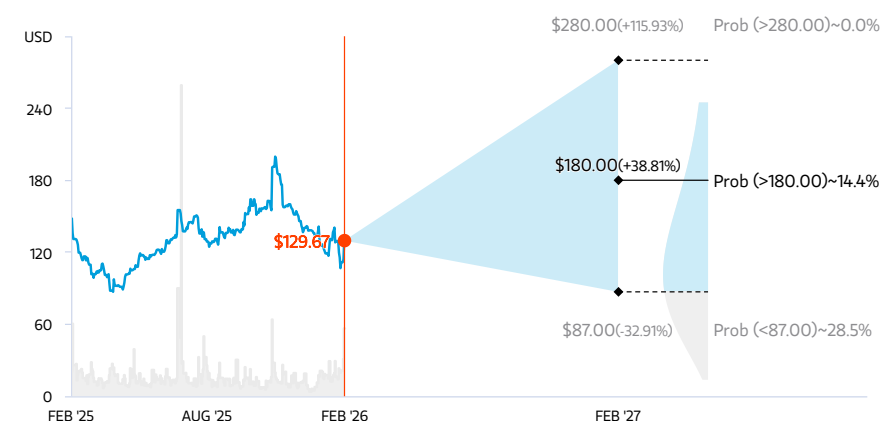
### PRICE TARGET \$180.00

Apply a 45x multiple (1.5x growth-adjusted) to our CY28 FCF/share estimate of \$4.17 (\$1.6 billion FCF, 27% margin), and discount back 1yr. 1.5x FCF growth-adj represents a premium to peer average 1.2x CY27. We believe a premium is warranted given it's the leading share gainer in a large category, its highly efficient business model, and being the most innovative company in the observability space, together translating into durable 25% FCF growth

#### Consensus Price Target Distribution



### RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)

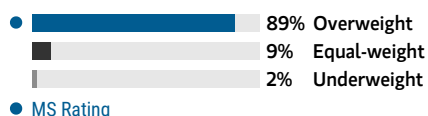


Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 10 Feb 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

### OVERWEIGHT THESIS

**Leading Product in a Growing Market Supports Continued Rapid Growth.** Datadog has positioned itself as the leading observability platform for the most modern cloud environments. Strong secular tailwinds towards modern performance monitoring with the re-platforming to the cloud creates an underpenetrated TAM that we estimate at \$90+ billion today

#### Consensus Rating Distribution



#### Risk Reward Themes

New Data Era: *Positive*  
 Secular Growth: *Positive*  
 Technology Diffusion: *Positive*

View descriptions of Risk Rewards Themes [here](#)

#### BULL CASE

**\$280.00**

60x CY28e FCF/sh of \$4.94, discounted back 1yr.

**Datadog Becomes The Consolidation Vendor in The Observability Market, While Security and ITSM Expansion Ramps.** We assume that Datadog grows total revenue at a ~25% 3-yr revenue CAGR through CY28 to \$6.7B while operating margins improve to 27%, yielding \$1.9B of FCF (29% margin) or \$4.94/share. Applying 60x multiple to CY28 FCF/sh and discounting back 1yr at ~11% WACC yields \$280.

#### BASE CASE

**\$180.00**

45x CY28e FCF/sh of \$4.17, discounted back 1yr

**Continued Leading Position in Observability Combined with Superior Unit Economics Drive Strong FCF.** We assume that Datadog grows total revenue at a ~21% 3-yr revenue CAGR through CY28 to \$6B while operating margins improves from 22% in CY25 to 25%, yielding \$1.6B of FCF (27% margin) or \$4.17/share. Applying 45x multiple to CY28 FCF/sh (1.5x growth-adjusted) and discounting back 1yr at ~11% WACC yields our price target of \$180. 1.5x represents a premium to its peer group average of 1.2x.

#### BEAR CASE

**\$87.00**

25x CY27e FCF/sh of \$3.36, discounted back 1yr.

**Intensifying Competition Weighs on Growth and Margins.** We assume that Datadog grows total revenue at a ~16% 3-yr revenue CAGR through CY28 to \$5.3B while operating margins deteriorates to 23%, yielding \$1.3B of FCF (25% margin) or \$3.36/share. Applying 25x multiple to CY28 FCF/sh and discounting back 1yr at ~11% WACC yields \$87.

## Risk Reward – Datadog, Inc. (DDOG.O)

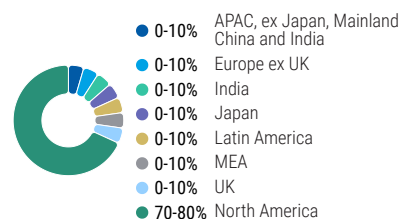
### KEY EARNINGS INPUTS

| Drivers                             | 2025 | 2026e | 2027e | 2028e |
|-------------------------------------|------|-------|-------|-------|
| Total Billings YoY Growth (%)       | 25.1 | 17.7  | 17.8  | 18.8  |
| Total Revenue YoY Growth (%)        | 27.7 | 19.1  | 21.3  | 23.1  |
| Total Customer Count YoY Growth (%) | 8.0  | 6.8   | 6.4   | 6.0   |
| Operating Margin (%)                | 22.4 | 21.1  | 22.1  | 24.6  |

### INVESTMENT DRIVERS

- Growth in customers >\$100K in ARR;
- Net Revenue Retention;
- Adoption of Product Outside of Infrastructure Monitoring.
- Operating Profitability and Free Cash Flow Performance.

### GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate  
View explanation of regional hierarchies [here](#)

### MS ALPHA MODELS

|                     |                             |                     |                            |
|---------------------|-----------------------------|---------------------|----------------------------|
| <b>4/5<br/>BEST</b> | <b>24 Month<br/>Horizon</b> | <b>3/5<br/>MOST</b> | <b>3 Month<br/>Horizon</b> |
|---------------------|-----------------------------|---------------------|----------------------------|

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

### RISKS TO PT/RATING

#### RISKS TO UPSIDE

- Customers consolidate capabilities with the Datadog platform
- Stronger Uptake of newer products
- Better Growth translates to margin outperformance
- OpenAI consumption proves stronger than expected

#### RISKS TO DOWNSIDE

- Intensifying competition in a crowded market
- OpenAI churns faster than expected
- Weak adoption outside of Observability
- Premium pricing causes customer to move to alternatives

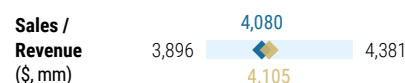
### OWNERSHIP POSITIONING

|                            |       |                                                                    |
|----------------------------|-------|--------------------------------------------------------------------|
| Inst. Owners, % Active     | 55.1% | <div><div></div><div></div><div></div><div></div><div></div></div> |
| HF Sector Long/Short Ratio | 2.1x  | <div><div></div><div></div><div></div><div></div><div></div></div> |
| HF Sector Net Exposure     | 26.4% | <div><div></div><div></div><div></div><div></div><div></div></div> |

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

### MS ESTIMATES VS. CONSENSUS

FY Dec 2026e



Source: Refinitiv, Morgan Stanley Research

# Model Changes

**Exhibit 1:** Model Changes

| Datadog Model Changes   | FY22   | FY23   | FY24   | 1Q25   | 2Q25   | 3Q25   | 4Q25   | FY25   | 1Q26E  | 2Q26E  | 3Q26E  | 4Q26E  | FY26E  | FY27E  | FY28E  |
|-------------------------|--------|--------|--------|--------|--------|--------|--------|--------|--------|--------|--------|--------|--------|--------|--------|
| <b>Total Revenue</b>    | 1,675  | 2,128  | 2,684  | 762    | 827    | 886    | 953    | 3,427  | 956    | 984    | 1,040  | 1,101  | 4,080  | 4,951  | 6,092  |
| YoY                     | 62.8%  | 27.1%  | 26.1%  | 24.6%  | 28.1%  | 28.4%  | 29.2%  | 27.7%  | 25.6%  | 19.0%  | 17.4%  | 15.5%  | 19.1%  | 21.3%  | 23.1%  |
| Old Total Revenue       | 1,675  | 2,128  | 2,684  | 762    | 827    | 886    | 915    | 3,389  | 919    | 966    | 1,021  | 1,060  | 3,965  | 4,813  | 5,919  |
| YoY                     | 62.8%  | 27.1%  | 26.1%  | 24.6%  | 28.1%  | 28.4%  | 24.0%  | 26.2%  | 20.6%  | 16.8%  | 15.3%  | 15.9%  | 17.0%  | 21.4%  | 23.0%  |
| \$ Change               | 0      | 0      | 0      | 0      | 0      | 0      | 39     | 39     | 38     | 18     | 19     | 41     | 115    | 138    | 173    |
| % Change                | 0.0%   | 0.0%   | 0.0%   | 0.0%   | 0.0%   | 0.0%   | 4.2%   | 1.1%   | 4.1%   | 1.9%   | 1.8%   | 3.9%   | 2.9%   | 2.9%   | 2.9%   |
| <b>Operating Income</b> | 326    | 490    | 674    | 167    | 164    | 207    | 230    | 768    | 200    | 181    | 229    | 249    | 860    | 1,095  | 1,499  |
| Margin                  | 19.5%  | 23.0%  | 25.1%  | 21.9%  | 19.8%  | 23.4%  | 24.1%  | 22.4%  | 20.9%  | 18.4%  | 22.1%  | 22.7%  | 21.1%  | 22.1%  | 24.6%  |
| Old Operating Income    | 326    | 490    | 674    | 167    | 164    | 207    | 218    | 750    | 180    | 176    | 219    | 235    | 810    | 1,064  | 1,457  |
| Old Margin              | 19.5%  | 23.0%  | 25.1%  | 21.9%  | 19.8%  | 23.4%  | 23.9%  | 22.3%  | 19.6%  | 18.2%  | 21.5%  | 22.2%  | 20.4%  | 22.1%  | 24.6%  |
| \$ Change               | 0      | 0      | 0      | 0      | 0      | 0      | 12     | 12     | 20     | 5      | 10     | 15     | 50     | 31     | 42     |
| Margin variance (bps)   | 0      | 0      | 0      | 0      | 0      | 0      | 29     | 10     | 130    | 20     | 60     | 50     | 65     | 0      | 0      |
| <b>Net Income</b>       | 277    | 464    | 654    | 168    | 164    | 197    | 217    | 747    | 183    | 171    | 209    | 225    | 787    | 972    | 1,327  |
| Margin                  | 16.5%  | 21.8%  | 24.4%  | 22.0%  | 19.8%  | 22.3%  | 22.8%  | 21.8%  | 19.1%  | 17.4%  | 20.1%  | 20.4%  | 19.3%  | 19.6%  | 21.8%  |
| Old Net Income          | 277    | 464    | 654    | 168    | 164    | 197    | 203    | 732    | 167    | 164    | 198    | 210    | 739    | 948    | 1,293  |
| Old Margin              | 16.5%  | 21.8%  | 24.4%  | 22.0%  | 19.8%  | 22.3%  | 22.1%  | 21.6%  | 18.2%  | 17.0%  | 19.4%  | 19.8%  | 18.6%  | 19.7%  | 21.9%  |
| \$ Change               | 0      | 0      | 0      | 0      | 0      | 0      | 15     | 15     | 16     | 7      | 11     | 15     | 49     | 24     | 34     |
| Margin variance (bps)   | 0      | 0      | 0      | 0      | 0      | 0      | 67     | 19     | 92     | 39     | 73     | 60     | 66     | -6     | -7     |
| <b>EPS</b>              | \$0.80 | \$1.33 | \$1.83 | \$0.46 | \$0.46 | \$0.55 | \$0.59 | \$2.06 | \$0.50 | \$0.46 | \$0.56 | \$0.60 | \$2.12 | \$2.54 | \$3.41 |
| Old EPS                 | \$0.80 | \$1.33 | \$1.83 | \$0.46 | \$0.46 | \$0.55 | \$0.55 | \$2.01 | \$0.45 | \$0.44 | \$0.53 | \$0.56 | \$1.98 | \$2.50 | \$3.35 |
| \$ Change               | 0.00   | 0.00   | 0.00   | 0.00   | 0.00   | 0.00   | 0.05   | 0.05   | 0.05   | 0.02   | 0.03   | 0.04   | 0.14   | 0.04   | 0.05   |
| <b>Free Cash Flow</b>   | 354    | 598    | 775    | 244    | 165    | 214    | 291    | 915    | 229    | 173    | 222    | 313    | 936    | 1,209  | 1,622  |
| Margin                  | 21.1%  | 28.1%  | 28.9%  | 32.1%  | 20.0%  | 24.2%  | 30.5%  | 26.7%  | 23.9%  | 17.6%  | 21.3%  | 28.4%  | 22.9%  | 24.4%  | 26.6%  |
| Old Free Cash Flow      | 354    | 598    | 775    | 244    | 165    | 214    | 191    | 814    | 210    | 166    | 212    | 208    | 893    | 1,170  | 1,570  |
| Old Margin              | 21.1%  | 28.1%  | 28.9%  | 32.1%  | 20.0%  | 24.2%  | 20.8%  | 24.0%  | 23.5%  | 17.2%  | 20.8%  | 28.1%  | 22.5%  | 24.4%  | 26.6%  |
| \$ Change               | 0      | 0      | 0      | 0      | 0      | 0      | 100    | 100    | 12     | 7      | 9      | 15     | 43     | 33     | 46     |
| Margin variance (bps)   | 0      | 0      | 0      | 0      | 0      | 0      | 969    | 266    | 38     | 35     | 50     | 28     | 41     | -2     | 0      |

Source: Morgan Stanley Research estimates, Company data



## DDOG Financials

## Exhibit 2: Revenue Drivers

| (\$ in millions, except EPS)              |         |         |         |         |         |         |         |         |         |         |         |         |         |         |         |         |
|-------------------------------------------|---------|---------|---------|---------|---------|---------|---------|---------|---------|---------|---------|---------|---------|---------|---------|---------|
|                                           | FY21    | FY22    | FY23    | FY24    | Mar-25  | Jun-25  | Sep-25  | Dec-25  | FY25    | Mar-26  | Jun-26  | Sep-26  | Dec-26  | FY26E   | FY27E   | FY28E   |
|                                           |         |         |         |         | 1Q25    | 2Q25    | 3Q25    | 4Q25    |         | 1Q26E   | 2Q26E   | 3Q26E   | 4Q26E   |         |         |         |
| Customer Model                            |         |         |         |         |         |         |         |         |         |         |         |         |         |         |         |         |
| Total Customers - EoP                     | 18,800  | 23,200  | 27,300  | 30,000  | 30,500  | 31,400  | 32,000  | 32,700  | 32,700  | 33,079  | 33,859  | 34,339  | 34,921  | 34,921  | 36,777  | 38,555  |
| YoY Growth                                | 32.7%   | 23.4%   | 17.7%   | 9.9%    | 8.9%    | 9.4%    | 9.6%    | 9.0%    | 9.0%    | 8.5%    | 7.8%    | 7.3%    | 6.8%    | 6.8%    | 5.3%    | 4.8%    |
| Net New Adds                              | 4,630   | 4,400   | 2,700   | 2,700   | 500     | 900     | 600     | 700     | 2,700   | 379     | 780     | 481     | 582     | 2,221   | 1,856   | 1,778   |
| YoY Growth                                | 26%     | -5%     | -39%    | 0%      | -29%    | 29%     | 20%     | -13%    | 0%      | -24%    | -13%    | -20%    | -17%    | -18%    | -16%    | -4%     |
| Customers >\$100k in ARR                  | 2,010   | 2,780   | 3,190   | 3,610   | 3,770   | 3,850   | 4,060   | 4,310   | 4,310   | 4,475   | 4,560   | 4,775   | 5,030   | 5,030   | 5,770   | 6,530   |
| YoY Growth                                | 60.4%   | 38.3%   | 14.7%   | 13.2%   | 12.9%   | 13.6%   | 16.3%   | 19.4%   | 19.4%   | 18.7%   | 18.4%   | 17.6%   | 16.7%   | 16.7%   | 14.7%   | 13.2%   |
| % of Total                                | 10.7%   | 12.0%   | 11.7%   | 12.0%   | 12.4%   | 12.3%   | 12.7%   | 13.2%   | 13.2%   | 13.5%   | 13.5%   | 13.9%   | 14.4%   | 14.4%   | 15.7%   | 16.9%   |
| Net New Adds                              | 757     | 770     | 410     | 420     | 160     | 80      | 210     | 250     | 700     | 165     | 85      | 215     | 255     | 720     | 740     | 760     |
| YoY Growth                                | 92%     | 2%      | -47%    | 2%      | 7%      | 60%     | 110%    | 108%    | 67%     | 3%      | 6%      | 2%      | 2%      | 3%      | 3%      | 3%      |
| ARR from Customers with >\$100k in ARR (m | 1,120.5 | 1,623.5 | 2,021.0 | 2,687.5 | 2,834.8 | 3,112.5 | 3,334.2 | 3,628.8 | 3,628.8 | 3,782.1 | 4,080.5 | 4,351.7 | 4,664.0 | 4,664.0 | 5,879.9 | 7,380.3 |
| YoY Growth                                | 96.8%   | 44.9%   | 24.5%   | 33.0%   | 30.8%   | 34.9%   | 33.9%   | 35.0%   | 35.0%   | 33.4%   | 31.1%   | 30.5%   | 28.5%   | 28.5%   | 26.1%   | 25.5%   |
| % of ARR from Customers >\$100k in ARR    | 83.0%   | 85.0%   | 86.0%   | 88.0%   | 88.0%   | 89.0%   | 89.0%   | 90.0%   | 90.0%   | 90.3%   | 90.5%   | 90.8%   | 91.0%   | 91.0%   | 92.0%   | 93.0%   |
| Customers >\$1M in ARR                    | 216     | 317     | 396     | 462     |         |         |         |         | 603     |         |         |         |         |         |         |         |
| YoY Growth                                | 113.9%  | 46.8%   | 24.9%   | 16.7%   |         |         |         |         | 30.5%   |         |         |         |         |         |         |         |
| QoQ Growth                                |         |         |         |         |         |         |         |         |         |         |         |         |         |         |         |         |
| Net Adds                                  | 115     | 101     | 79      | 66      |         |         |         |         | 141     |         |         |         |         |         |         |         |
| AI-Native ARR Breakout                    |         |         |         |         |         |         |         |         |         |         |         |         |         |         |         |         |
| AI-Native Revenue Breakout                |         |         |         |         |         |         |         |         |         |         |         |         |         |         |         |         |
| Total Revenue                             | 1,028.8 | 1,675.1 | 2,128.4 | 2,684.3 | 761.6   | 826.8   | 885.7   | 953.2   | 3,427.2 | 956.2   | 983.8   | 1,039.7 | 1,100.5 | 4,080.2 | 4,950.7 | 6,091.8 |
| YoY growth                                | 70%     | 63%     | 27%     | 26%     | 24.6%   | 28.1%   | 28.4%   | 29.2%   | 27.7%   | 25.6%   | 19.0%   | 17.4%   | 15.5%   | 19.1%   | 21.3%   | 23.1%   |
| QoQ growth                                |         |         |         |         | 3.2%    | 8.6%    | 7.1%    | 7.6%    |         | 0.3%    | 2.9%    | 5.7%    | 5.9%    |         |         |         |
| AI-Native Revenue                         |         |         | 52.0    | 128.9   | 60.8    | 91.5    | 106.6   | 99.4    | 358.2   | 108.2   | 120.3   | 134.0   | 114.4   | 476.9   | 562.5   | 753.7   |
| Revenue Growth Contribution               |         |         | 3pts    | 4pts    | 6pts    | 10pts   | 10pts   | 8pts    | 9pts    | 6pts    | 3pts    | 3pts    | 2pts    | 3pts    | 2pts    | 4pts    |
| YoY growth                                |         |         | 147.8%  | 177%    | 177%    | 275%    | 174%    | 128%    | 178.0%  | 78%     | 31%     | 26%     | 15%     | 33.1%   | 17.9%   | 34.0%   |
| QoQ growth                                |         |         |         |         | 40%     | 51%     | 16%     | -7%     |         | 9%      | 11%     | 11%     | -15%    |         |         |         |
| % of total revenue                        |         | 0.0%    | 2.4%    | 4.8%    | 8.0%    | 11.1%   | 12.0%   | 10.4%   | 10.5%   | 11.3%   | 12.2%   | 12.9%   | 10.4%   | 11.7%   | 11.4%   | 12.4%   |
| Core Revenue (ex AI-Native)               | 1,028.8 | 1,675.1 | 2,076.4 | 2,555.4 | 700.8   | 735.2   | 779.1   | 853.8   | 3,068.9 | 848.0   | 863.5   | 905.7   | 986.1   | 3,603.3 | 4,388.2 | 5,338.1 |
| YoY growth                                | 70.5%   | 62.8%   | 24.0%   | 23.1%   | 18.9%   | 18.4%   | 19.7%   | 23.0%   | 20.1%   | 21.0%   | 17.4%   | 16.3%   | 15.5%   | 17.4%   | 21.8%   | 21.6%   |
| QoQ growth                                |         |         |         |         | 1.0%    | 4.9%    | 6.0%    | 9.6%    |         | -0.7%   | 1.8%    | 4.9%    | 8.9%    |         |         |         |
| % of total revenue                        | 100.0%  | 100.0%  | 97.6%   | 95.2%   | 92.0%   | 88.9%   | 88.0%   | 89.6%   | 89.5%   | 88.7%   | 87.8%   | 87.1%   | 89.6%   | 88.3%   | 88.6%   | 87.6%   |
| AI-Native Revenue (ex-OpenAI)             |         |         | 25.6    | 42.5    | 19.4    | 22.6    | 27.4    | 29.9    | 99.3    | 39.7    | 45.1    | 54.6    | 59.0    | 198.5   | 337.5   | 573.7   |
| YoY growth                                |         |         | 65.8%   | 136.6%  | 136.6%  | 133.1%  | 135.6%  | 130.0%  | 133.5%  | 104.9%  | 100.2%  | 99.1%   | 97.5%   | 100.0%  | 70.0%   | 70.0%   |
| QoQ growth                                |         |         |         | 49.0%   | 49.0%   | 16.4%   | 21.6%   | 9.0%    |         | 32.8%   | 13.7%   | 21.0%   | 8.1%    |         |         |         |
| % of total revenue                        |         |         | 1.2%    | 1.6%    | 2.5%    | 2.7%    | 3.1%    | 3.1%    | 2.9%    | 4.2%    | 4.6%    | 5.3%    | 5.4%    | 4.9%    | 6.8%    | 9.4%    |
| OpenAI Revenue                            |         |         | 26.4    | 86.4    | 41.4    | 69.0    | 79.1    | 69.5    | 259.0   | 68.5    | 75.2    | 79.3    | 55.4    | 278.4   | 225.0   | 180.0   |
| YoY growth                                |         |         | 227.6%  | 200.4%  | 200.4%  | 368.0%  | 190.0%  | 127.3%  | 199.8%  | 65.4%   | 9.0%    | 0.3%    | -20.3%  | 7.5%    | -19.2%  | -20.0%  |
| QoQ growth                                |         |         |         | 35.5%   | 35.5%   | 66.5%   | 14.7%   | -12.2%  |         | -1.4%   | 9.8%    | 5.6%    | -30.2%  |         |         |         |
| % of total revenue                        |         |         | 1.2%    | 3.2%    | 5.4%    | 8.3%    | 8.9%    | 7.3%    | 7.6%    | 7.2%    | 7.6%    | 7.6%    | 5.0%    | 6.8%    | 4.5%    | 3.0%    |
| Total Revenue (ex-OpenAI)                 | 1,028.8 | 1,675.1 | 2,102.0 | 2,597.9 | 720.1   | 757.8   | 806.5   | 883.7   | 3,168.2 | 887.7   | 908.6   | 960.3   | 1,045.1 | 3,801.8 | 4,725.7 | 5,911.8 |
| YoY growth                                | 70.5%   | 62.8%   | 25.5%   | 23.6%   | 20.5%   | 20.2%   | 21.7%   | 25.0%   | 22.0%   | 23.3%   | 19.9%   | 19.1%   | 18.3%   | 20.0%   | 24.3%   | 25.1%   |
| QoQ growth                                |         |         |         |         | 1.8%    | 5.2%    | 6.4%    | 9.6%    |         | 0.5%    | 2.4%    | 5.7%    | 8.8%    |         |         |         |
| % of total revenue                        | 100.0%  | 100.0%  | 98.8%   | 96.8%   | 94.6%   | 91.7%   | 91.1%   | 92.7%   | 92.4%   | 92.8%   | 92.4%   | 92.4%   | 95.0%   | 93.2%   | 95.5%   | 97.0%   |
| Billings Model                            |         |         |         |         |         |         |         |         |         |         |         |         |         |         |         |         |
| Current Deferred Revenue                  | 372     | 543     | 766     | 962     | 949.1   | 966.4   | 974.3   | 1,193.6 | 1,194   | 1,172   | 1,221   | 1,260   | 1,505   | 1,505   | 1,707   | 1,724   |
| YoY growth                                | 82%     | 46%     | 41%     | 26%     | 24%     | 21%     | 22%     | 24%     | 24%     | 23%     | 26%     | 29%     | 26%     | 26%     | 13%     | 1%      |
| QoQ growth                                |         |         |         |         | -1%     | 2%      | 1%      | 23%     |         | -2%     | 4%      | 3%      | 19%     |         |         |         |
| % of total                                | 96%     | 98%     | 97%     | 98%     | 98%     | 97%     | 97%     | 95%     | 95%     | 95%     | 95%     | 95%     | 95%     | 95%     | 95%     | 95%     |
| Long Term Deferred Revenue                | 14      | 13      | 21      | 23      | 21.6    | 29.9    | 29.0    | 68.7    | 69      | 67      | 70      | 73      | 87      | 87      | 98      | 99      |
| YoY growth                                | 303%    | -7%     | 64%     | 7%      | -18%    | 113%    | 58%     | 203%    | 203%    | 213%    | 135%    | 150%    | 26%     | 26%     | 13%     | 1%      |
| QoQ growth                                |         |         |         |         | -4%     | 39%     | -3%     | 137%    |         | 0%      | 4%      | 3%      | 19%     |         |         |         |
| % of total                                | 4%      | 2%      | 3%      | 2%      | 2%      | 3%      | 3%      | 5%      | 5%      | 5%      | 5%      | 5%      | 5%      | 5%      | 5%      | 5%      |
| Reported Total Deferred Revenue           | 386     | 556     | 787     | 985     | 970.7   | 996.3   | 1,003.3 | 1,262.4 | 1,262   | 1,239   | 1,291   | 1,333   | 1,591   | 1,591   | 1,805   | 1,824   |
| YoY growth                                | 85%     | 44%     | 42%     | 25%     | 22%     | 22%     | 23%     | 28%     | 28%     | 28%     | 30%     | 33%     | 26%     | 26%     | 13%     | 1%      |
| QoQ growth                                |         |         |         |         | -1%     | 3%      | 1%      | 26%     |         | -2%     | 4%      | 3%      | 19%     |         |         |         |
| Sequential Change                         | 177.6   | 170.1   | 231.0   |         | -13.9   | 25.6    | 7.0     | 259.1   |         | -23.2   | 51.8    | 42.0    | 258.6   |         |         |         |
| Total Billings                            | 1,206.4 | 1,845.2 | 2,359.3 | 2,881.9 | 747.7   | 852.4   | 892.6   | 1,212.3 | 3,705.0 | 933.0   | 1,035.6 | 1,081.7 | 1,359.1 | 4,409.3 | 5,164.5 | 6,110.1 |
| YoY growth                                | 79%     | 53.0%   | 27.9%   | 22.1%   | 21.0%   | 27.7%   | 29.6%   | 33.5%   | 28.6%   | 24.8%   | 21.5%   | 21.2%   | 12.1%   | 19.0%   | 17.1%   | 18.3%   |
| QoQ growth                                |         |         |         |         | -17.7%  | 14.0%   | 4.7%    | 35.8%   |         | -23.0%  | 11.0%   | 4.5%    | 25.6%   |         |         |         |
| Delta vs Revenue Growth                   |         | -9.9%   | 0.8%    | -4.0%   | -3.6%   | -0.4%   | 1.3%    | 4.3%    | 0.9%    | -0.8%   | 2.5%    | 3.8%    | -3.3%   | 0.0%    | -4.2%   | -4.7%   |
| Current Billings                          | 1,214.8 | 1,846.1 | 2,351.1 | 2,880.4 | 748.8   | 844.1   | 893.5   | 1,172.6 | 3,659.0 | 934.2   | 1,032.8 | 1,079.4 | 1,345.0 | 4,391.4 | 5,152.8 | 6,109.1 |
| YoY growth                                | 80%     | 52%     | 27%     | 23%     | 22%     | 24%     | 31%     | 30%     | 27%     | 25%     | 22%     | 21%     | 15%     | 20%     | 17%     | 19%     |
| QoQ growth                                |         |         |         |         | -17%    | 13%     | 6%      | 31%     |         | -20%    | 11%     | 5%      | 25%     |         |         |         |
| % of total                                |         |         |         |         | 100%    | 99%     | 100%    | 97%     |         | 100%    | 100%    | 100%    | 99%     |         |         |         |
| Remaining Performance Obligations (RPO)   |         |         |         |         |         |         |         |         |         |         |         |         |         |         |         |         |
| Remaining Performance Obligation (RPO)    | 815.0   | 1,057.2 | 1,839.4 | 2,273.1 | 2,310.0 | 2,425.8 | 2,787.6 | 3,460.0 | 3,460.0 |         |         |         |         |         |         |         |
| YoY % change                              | 88%     | 30%     | 74%     | 24%     | 33%     | 35%     | 53%     | 52%     | 52%     |         |         |         |         |         |         |         |
| QoQ % change                              |         |         |         |         | 2%      | 5%      | 15%     | 24%     |         |         |         |         |         |         |         |         |
| 2yr-stack YoY Growth                      |         | 117.5%  | 103.7%  | 97.6%   | 85.5%   | 78.4%   | 79.0%   | 75.8%   | 75.8%   |         |         |         |         |         |         |         |
| RPO Bookings                              | 1,409.7 | 1,917.3 | 2,910.6 | 3,118.0 | 798.5   | 942.6   | 1,247.5 | 1,625.6 | 4,614.1 |         |         |         |         |         |         |         |
| YoY % change                              | 78%     | 36%     | 52%     | 7%      | 59%     | 33%     | 73%     | 37%     | 48%     |         |         |         |         |         |         |         |
| QoQ % change                              |         |         |         |         | -33%    | 18%     | 32%     | 30%     |         |         |         |         |         |         |         |         |

Source: Morgan Stanley Research estimates, Company data



## Exhibit 3: Income Statement

(\$ millions, Except Per-Share Data)

|                                                |                |                |                | Mar-25        | Jun-25        | Sep-25        | Dec-25        |                | Mar-26        | Jun-26        | Sep-26         | Dec-26         |                |                |                |
|------------------------------------------------|----------------|----------------|----------------|---------------|---------------|---------------|---------------|----------------|---------------|---------------|----------------|----------------|----------------|----------------|----------------|
|                                                | FY22           | FY23           | FY24           | 1Q25          | 2Q25          | 3Q25          | 4Q25          | FY25           | 1Q26E         | 2Q26E         | 3Q26E          | 4Q26E          | FY26E          | FY27E          | FY28E          |
| <b>Total Revenue</b>                           | <b>1,675.1</b> | <b>2,128.4</b> | <b>2,684.3</b> | <b>761.6</b>  | <b>826.8</b>  | <b>885.7</b>  | <b>953.2</b>  | <b>3,427.2</b> | <b>956.2</b>  | <b>983.8</b>  | <b>1,039.7</b> | <b>1,100.5</b> | <b>4,080.2</b> | <b>4,950.7</b> | <b>6,091.8</b> |
| Year over year % change                        | 62.8%          | 27.1%          | 26.1%          | 24.6%         | 28.1%         | 28.4%         | 29.2%         | 27.7%          | 25.6%         | 19.0%         | 17.4%          | 15.5%          | 19.1%          | 21.3%          | 23.1%          |
| Quarter over quarter % change                  |                |                |                | 3.2%          | 8.6%          | 7.1%          | 7.6%          |                | 0.3%          | 2.9%          | 5.7%           | 5.9%           |                |                |                |
| <b>Cost of Revenue</b>                         |                |                |                |               |               |               |               |                |               |               |                |                |                |                |                |
| Total Cost of Revenue                          | 328.9          | 383.9          | 483.2          | 149.9         | 157.5         | 166.8         | 176.9         | 651.1          | 176.9         | 182.0         | 192.3          | 203.6          | 754.8          | 915.9          | 1,127.0        |
| Total Cost of Revenue                          | 328.9          | 383.9          | 483.2          | 149.9         | 157.5         | 166.8         | 176.9         | 651.1          | 176.9         | 182.0         | 192.3          | 203.6          | 754.8          | 915.9          | 1,127.0        |
| <b>Gross Profit</b>                            | <b>1,346.2</b> | <b>1,744.4</b> | <b>2,201.1</b> | <b>611.7</b>  | <b>669.2</b>  | <b>718.9</b>  | <b>776.3</b>  | <b>2,776.1</b> | <b>779.3</b>  | <b>801.8</b>  | <b>847.3</b>   | <b>896.9</b>   | <b>3,325.4</b> | <b>4,034.8</b> | <b>4,964.8</b> |
| <b>Gross Margin</b>                            | <b>80.4%</b>   | <b>82.0%</b>   | <b>82.0%</b>   | <b>80.3%</b>  | <b>80.9%</b>  | <b>81.2%</b>  | <b>81.4%</b>  | <b>81.0%</b>   | <b>81.5%</b>  | <b>81.5%</b>  | <b>81.5%</b>   | <b>81.5%</b>   | <b>81.5%</b>   | <b>81.5%</b>   | <b>81.5%</b>   |
| <b>Operating Expenses</b>                      |                |                |                |               |               |               |               |                |               |               |                |                |                |                |                |
| Sales & Marketing                              | 415.0          | 500.6          | 629.0          | 178.4         | 200.0         | 195.5         | 219.1         | 793.1          | 224.7         | 255.8         | 249.5          | 257.5          | 987.5          | 1,211.1        | 1,458.0        |
| % of revenue                                   | 24.8%          | 23.5%          | 23.4%          | 23.4%         | 24.2%         | 22.1%         | 23.0%         | 23.1%          | 23.5%         | 26.0%         | 24.0%          | 23.4%          | 24.2%          | 24.5%          | 23.9%          |
| Research & Development                         | 504.8          | 627.9          | 758.3          | 225.7         | 263.2         | 269.5         | 280.3         | 1,038.7        | 303.1         | 314.8         | 314.0          | 332.4          | 1,264.3        | 1,485.2        | 1,729.1        |
| % of revenue                                   | 30.1%          | 29.5%          | 28.2%          | 29.6%         | 31.8%         | 30.4%         | 29.4%         | 30.3%          | 31.7%         | 32.0%         | 30.2%          | 30.2%          | 31.0%          | 30.0%          | 28.4%          |
| General & Administration                       | 100.1          | 125.7          | 139.6          | 41.0          | 41.9          | 46.5          | 46.8          | 176.2          | 51.5          | 49.8          | 54.4           | 57.7           | 213.5          | 243.7          | 278.4          |
| % of revenue                                   | 6.0%           | 5.9%           | 5.2%           | 5.4%          | 5.1%          | 5.2%          | 4.9%          | 5.1%           | 5.4%          | 5.1%          | 5.2%           | 5.2%           | 5.2%           | 4.9%           | 4.6%           |
| Total Operating Expenses                       | 1,019.9        | 1,254.2        | 1,526.8        | 445.2         | 505.1         | 511.5         | 546.2         | 2,008.0        | 579.3         | 620.4         | 617.9          | 647.6          | 2,465.3        | 2,940.0        | 3,465.5        |
| Year over year % change                        | 60%            | 23%            | 22%            | 29%           | 36%           | 32%           | 29%           | 32%            | 30%           | 23%           | 21%            | 19%            | 23%            | 19%            | 18%            |
| Quarter over quarter % change                  |                |                |                | -71%          | 13%           | 1%            | 7%            |                | 6%            | 7%            | 0%             | 5%             |                |                |                |
| <b>Operating Income</b>                        | <b>326.3</b>   | <b>490.2</b>   | <b>674.2</b>   | <b>166.5</b>  | <b>164.1</b>  | <b>207.4</b>  | <b>230.1</b>  | <b>768.0</b>   | <b>200.0</b>  | <b>181.4</b>  | <b>229.4</b>   | <b>249.3</b>   | <b>860.1</b>   | <b>1,094.7</b> | <b>1,499.3</b> |
| <b>Operating Margin</b>                        | <b>19.5%</b>   | <b>23.0%</b>   | <b>25.1%</b>   | <b>21.9%</b>  | <b>19.8%</b>  | <b>23.4%</b>  | <b>24.1%</b>  | <b>22.4%</b>   | <b>20.9%</b>  | <b>18.4%</b>  | <b>22.1%</b>   | <b>22.7%</b>   | <b>21.1%</b>   | <b>22.1%</b>   | <b>24.6%</b>   |
| Net Interest and Other Income (Expense)        | 24.0           | 97.1           | 153.4          | 46.0          | 43.3          | 42.5          | 45.2          | 177.0          | 31.5          | 35.0          | 35.0           | 35.0           | 136.5          | 135.6          | 180.5          |
| Income Before Taxes                            | 350.3          | 587.3          | 827.6          | 212.5         | 207.4         | 249.9         | 275.2         | 945.0          | 231.5         | 216.4         | 264.4          | 284.3          | 996.6          | 1,230.3        | 1,679.8        |
| % of revenues                                  | 20.9%          | 27.6%          | 30.8%          | 27.9%         | 25.1%         | 28.2%         | 28.9%         | 27.6%          | 24.2%         | 22.0%         | 25.4%          | 25.8%          | 24.4%          | 24.9%          | 27.6%          |
| Provision (Benefit) for Income Taxes           | 73.6           | 123.3          | 173.8          | 44.6          | 43.6          | 52.5          | 57.8          | 198.5          | 48.6          | 45.4          | 55.5           | 59.7           | 209.3          | 258.4          | 352.8          |
| % Tax Rate                                     | 21%            | 21%            | 21%            | 21%           | 21%           | 21%           | 21%           | 21%            | 21%           | 21%           | 21%            | 21%            | 21%            | 21%            | 21%            |
| <b>Net income</b>                              | <b>276.7</b>   | <b>464.0</b>   | <b>653.8</b>   | <b>167.9</b>  | <b>163.8</b>  | <b>197.4</b>  | <b>217.4</b>  | <b>746.6</b>   | <b>182.9</b>  | <b>170.9</b>  | <b>208.9</b>   | <b>224.6</b>   | <b>787.3</b>   | <b>972.0</b>   | <b>1,327.0</b> |
| <b>Net margin</b>                              | <b>16.5%</b>   | <b>21.8%</b>   | <b>24.4%</b>   | <b>22.0%</b>  | <b>19.8%</b>  | <b>22.3%</b>  | <b>22.8%</b>  | <b>21.8%</b>   | <b>19.1%</b>  | <b>17.4%</b>  | <b>20.1%</b>   | <b>20.4%</b>   | <b>19.3%</b>   | <b>19.6%</b>   | <b>21.8%</b>   |
| <b>Pro Forma EPS - Operating<sup>(1)</sup></b> | <b>\$0.80</b>  | <b>\$1.33</b>  | <b>\$1.83</b>  | <b>\$0.46</b> | <b>\$0.46</b> | <b>\$0.55</b> | <b>\$0.59</b> | <b>\$2.06</b>  | <b>\$0.50</b> | <b>\$0.46</b> | <b>\$0.56</b>  | <b>\$0.60</b>  | <b>\$2.12</b>  | <b>\$2.54</b>  | <b>\$3.41</b>  |

Source: Morgan Stanley Research estimates, Company data

## Exhibit 4: Balance Sheet

(\$ in millions, except EPS)

|                                                   |                |                |                | Mar-25         | Jun-25         | Sep-25         | Dec-25         |                | Mar-26         | Jun-26         | Sep-26         | Dec-26         |                |                |                 |
|---------------------------------------------------|----------------|----------------|----------------|----------------|----------------|----------------|----------------|----------------|----------------|----------------|----------------|----------------|----------------|----------------|-----------------|
|                                                   | FY22           | FY23           | FY24           | 1Q25           | 2Q25           | 3Q25           | 4Q25           | FY25           | 1Q26E          | 2Q26E          | 3Q26E          | 4Q26E          | FY26E          | FY27E          | FY28E           |
| <b>Assets</b>                                     |                |                |                |                |                |                |                |                |                |                |                |                |                |                |                 |
| Cash and Cash Equivalents (incl. Restricted Cash) | 337.5          | 330.3          | 1,247.0        | 1,079.9        | 489.0          | 540.6          | 401.3          | 401.3          | 631.8          | 806.3          | 1,029.7        | 1,344.0        | 1,344.0        | 2,559.9        | 4,189.4         |
| Short Term Investments                            | 1,546.8        | 2,252.6        | 2,942.1        | 3,369.8        | 3,421.9        | 3,599.7        | 4,073.5        | 4,073.5        | 4,073.5        | 4,073.5        | 4,073.5        | 4,073.5        | 4,073.5        | 4,073.5        | 4,073.5         |
| Accounts Receivables, net                         | 399.6          | 509.3          | 598.9          | 490.2          | 604.2          | 549.6          | 741.3          | 741.3          | 664.3          | 851.7          | 837.4          | 1,013.1        | 1,013.1        | 1,173.4        | 1,136.2         |
| Deferred Commissions                              | 33.1           | 44.9           | 56.1           | 58.8           | 62.1           | 67.2           | 76.0           | 76.0           | 81.0           | 86.6           | 92.4           | 101.4          | 101.4          | 127.2          | 155.4           |
| Prepays and Other Current Assets                  | 27.3           | 41.0           | 67.0           | 77.7           | 67.4           | 80.9           | 90.2           | 90.2           | 93.5           | 95.9           | 100.4          | 104.6          | 104.6          | 126.7          | 155.8           |
| Deferred Taxes                                    | -              | -              | -              | -              | -              | -              | -              | -              | -              | -              | -              | -              | -              | -              | -               |
| <b>Total Current Assets</b>                       | <b>2,344.2</b> | <b>3,178.1</b> | <b>4,911.1</b> | <b>5,076.3</b> | <b>4,644.7</b> | <b>4,838.1</b> | <b>5,382.3</b> | <b>5,382.3</b> | <b>5,544.1</b> | <b>5,914.0</b> | <b>6,133.4</b> | <b>6,636.6</b> | <b>6,636.6</b> | <b>8,060.6</b> | <b>9,710.4</b>  |
| Property and Equipment, net                       | 125.3          | 171.9          | 227.0          | 249.9          | 283.1          | 307.6          | 338.1          | 338.1          | 354.4          | 371.8          | 389.4          | 407.0          | 407.0          | 488.4          | 587.6           |
| Operating Lease Asset                             | 87.6           | 126.6          | 172.5          | 203.1          | 215.6          | 218.7          | 214.7          | 214.7          | 214.7          | 214.7          | 214.7          | 214.7          | 214.7          | 214.7          | 214.7           |
| Deferred Commissions, less current                | 55.3           | 73.7           | 86.6           | 90.5           | 95.6           | 105.9          | 126.7          | 126.7          | 135.1          | 144.3          | 154.0          | 168.9          | 168.9          | 211.9          | 259.0           |
| Intangible Assets, net                            | 16.4           | 9.6            | 3.7            | 2.6            | 17.2           | 16.8           | 15.0           | 15.0           | 15.0           | 15.0           | 15.0           | 15.0           | 15.0           | 15.0           | 15.0            |
| Goodwill                                          | 348.3          | 352.7          | 360.4          | 361.7          | 531.0          | 530.0          | 530.6          | 530.6          | 530.6          | 530.6          | 530.6          | 530.6          | 530.6          | 530.6          | 530.6           |
| Other Assets                                      | 27.7           | 23.5           | 24.1           | 26.2           | 35.2           | 35.3           | 36.6           | 36.6           | 38.6           | 40.9           | 42.5           | 43.9           | 43.9           | 53.4           | 65.7            |
| Restricted Cash                                   | -              | -              | -              | -              | -              | -              | -              | -              | -              | -              | -              | -              | -              | -              | -               |
| <b>Total Assets</b>                               | <b>3,004.9</b> | <b>3,936.1</b> | <b>5,785.3</b> | <b>6,010.4</b> | <b>5,822.4</b> | <b>6,052.5</b> | <b>6,643.8</b> | <b>6,643.8</b> | <b>6,832.3</b> | <b>7,231.2</b> | <b>7,479.5</b> | <b>8,016.7</b> | <b>8,016.7</b> | <b>9,574.6</b> | <b>11,382.9</b> |
| <b>Liabilities</b>                                |                |                |                |                |                |                |                |                |                |                |                |                |                |                |                 |
| Accounts Payable                                  | 23.5           | 87.7           | 107.7          | 98.4           | 198.8          | 135.2          | 148.8          | 148.8          | 125.1          | 240.7          | 161.6          | 139.9          | 139.9          | 184.4          | 219.6           |
| Accrued Compensation and Benefits                 | 171.2          | 127.6          | 127.1          | 138.2          | 148.0          | 175.2          | 209.6          | 209.6          | 209.9          | 217.6          | 229.7          | 241.8          | 241.8          | 287.1          | 338.4           |
| Operating Lease Liability, Current                | 22.1           | 22.0           | 32.0           | 34.2           | 40.0           | 36.0           | 39.4           | 39.4           | 39.4           | 39.4           | 39.4           | 39.4           | 39.4           | 39.4           | 39.4            |
| Deferred Revenue                                  | 543.0          | 765.7          | 961.9          | 949.1          | 966.4          | 974.3          | 1,193.6        | 1,193.6        | 1,171.7        | 1,220.6        | 1,260.3        | 1,504.8        | 1,504.8        | 1,707.0        | 1,724.3         |
| Convertible Senior Notes (current)                | -              | -              | 634.0          | 634.8          | -              | -              | -              | -              | -              | -              | -              | -              | -              | -              | -               |
| Other Short-term Liabilities                      | -              | -              | -              | -              | -              | -              | -              | -              | -              | -              | -              | -              | -              | -              | -               |
| <b>Total Current Liabilities</b>                  | <b>759.7</b>   | <b>1,003.1</b> | <b>1,862.7</b> | <b>1,854.8</b> | <b>1,353.2</b> | <b>1,320.7</b> | <b>1,591.4</b> | <b>1,591.4</b> | <b>1,546.0</b> | <b>1,718.3</b> | <b>1,691.0</b> | <b>1,925.9</b> | <b>1,925.9</b> | <b>2,217.9</b> | <b>2,321.6</b>  |
| Deferred Revenue                                  | 12.9           | 21.2           | 22.7           | 21.6           | 29.9           | 29.0           | 68.7           | 68.7           | 67.4           | 70.3           | 72.6           | 86.6           | 86.6           | 98.3           | 99.3            |
| Other Liabilities                                 | 6.2            | 6.1            | 9.4            | 9.0            | 19.1           | 20.3           | 11.9           | 11.9           | 11.9           | 11.9           | 11.9           | 11.9           | 11.9           | 11.9           | 11.9            |
| Operating lease liability, non-current            | 76.6           | 138.1          | 196.9          | 228.0          | 243.1          | 260.9          | 256.2          | 256.2          | 265.2          | 274.2          | 283.3          | 292.3          | 292.3          | 328.4          | 364.4           |
| Convertible Senior Notes                          | 738.8          | 742.2          | 979.3          | 980.3          | 981.4          | 982.4          | 983.4          | 983.4          | 983.4          | 983.4          | 983.4          | 983.4          | 983.4          | 983.4          | 983.4           |
| <b>Total Liabilities</b>                          | <b>1,594.3</b> | <b>1,910.7</b> | <b>3,071.0</b> | <b>3,093.7</b> | <b>2,626.7</b> | <b>2,613.4</b> | <b>2,911.6</b> | <b>2,911.6</b> | <b>2,874.0</b> | <b>3,058.2</b> | <b>3,042.1</b> | <b>3,300.1</b> | <b>3,300.1</b> | <b>3,639.9</b> | <b>3,780.7</b>  |
| Additional Paid-in Capital                        | 1,625.2        | 2,181.3        | 2,689.0        | 2,860.6        | 3,130.1        | 3,335.7        | 3,579.0        | 3,579.0        | 3,782.1        | 3,986.0        | 4,196.3        | 4,413.2        | 4,413.2        | 5,324.6        | 6,322.6         |
| Retained Earnings (Accumulated Deficit)           | (202.3)        | (153.7)        | 30.0           | 54.7           | 57.3           | 91.2           | 137.8          | 137.8          | 160.8          | 171.5          | 225.7          | 288.0          | 288.0          | 594.6          | 1,264.3         |
| Accumulated Other Comprehensive Gain (Loss)       | (12.4)         | (2.2)          | (4.7)          | 1.3            | 8.3            | 12.2           | 15.4           | 15.4           | 15.4           | 15.4           | 15.4           | 15.4           | 15.4           | 15.4           | 15.4            |
| <b>Total Stockholders' Equity</b>                 | <b>1,410.5</b> | <b>2,025.4</b> | <b>2,714.4</b> | <b>2,916.7</b> | <b>3,195.8</b> | <b>3,439.1</b> | <b>3,732.2</b> | <b>3,732.2</b> | <b>3,958.3</b> | <b>4,173.0</b> | <b>4,437.4</b> | <b>4,716.6</b> | <b>4,716.6</b> | <b>5,934.7</b> | <b>7,602.3</b>  |
| <b>Total Liabilities and Stockholders' Equity</b> | <b>3,004.9</b> | <b>3,936.1</b> | <b>5,785.3</b> | <b>6,010.4</b> | <b>5,822.4</b> | <b>6,052.5</b> | <b>6,643.8</b> | <b>6,643.8</b> | <b>6,832.3</b> | <b>7,231.2</b> | <b>7,479.5</b> | <b>8,016.7</b> | <b>8,016.7</b> | <b>9,574.6</b> | <b>11,382.9</b> |

Source: Morgan Stanley Research estimates, Company data

## Exhibit 5: Cash Flow Statement

(\$ in millions, except EPS)

|                                                            |                |                |                | Mar-25         | Jun-25         | Sep-25         | Dec-25         |                  |               | Mar-26        | Jun-26         | Sep-26         | Dec-26         |                |                |       |
|------------------------------------------------------------|----------------|----------------|----------------|----------------|----------------|----------------|----------------|------------------|---------------|---------------|----------------|----------------|----------------|----------------|----------------|-------|
|                                                            | FY22           | FY23           | FY24           | 1Q25           | 2Q25           | 3Q25           | 4Q25           | FY25             |               | 1Q26E         | 2Q26E          | 3Q26E          | 4Q26E          | FY26E          | FY27E          | FY28E |
| <b>Net Income</b>                                          | (50.2)         | 48.6           | 183.7          | 24.6           | 2.6            | 33.9           | 46.6           | 107.7            | 23.0          | 10.7          | 54.2           | 62.2           | 150.2          | 306.7          | 669.6          |       |
| Depreciation and Amortization                              | 34.6           | 44.5           | 54.9           | 11.3           | 12.8           | 15.0           | 16.6           | 55.8             | 14.8          | 15.7          | 17.4           | 18.6           | 66.5           | 80.8           | 99.6           |       |
| Other Amortization                                         | 8.1            | (38.2)         | (47.6)         | (8.6)          | (9.2)          | (9.8)          | (11.3)         | (38.9)           |               |               |                |                | -              | -              | -              |       |
| Amortization of Deferred Commissions                       | 28.0           | 39.2           | 52.0           | 14.9           | 16.0           | 17.2           | 18.7           | 66.8             | 21.8          | 23.3          | 24.9           | 26.6           | 96.6           | 125.5          | 155.7          |       |
| Stock Compensation Expenses                                | 363.2          | 482.3          | 570.3          | 164.3          | 180.5          | 200.6          | 205.4          | 750.7            | 201.3         | 202.1         | 208.4          | 215.1          | 826.9          | 904.2          | 990.7          |       |
| Non-Cash Lease Expenses                                    | 21.4           | 26.4           | 27.3           | 8.4            | 9.0            | 9.1            | 9.0            | 35.5             | 9.0           | 9.0           | 9.0            | 9.0            | 36.1           | 36.1           | 36.1           |       |
| Tax Benefit from exercise of stock options                 | -              | -              | -              | -              | -              | -              | -              | -                | -             | -             | -              | -              | -              | -              | -              |       |
| Provision for Bad Debts                                    | 5.2            | 11.9           | 14.8           | 4.5            | 3.9            | 4.0            | 4.6            | 17.0             | -             | -             | -              | -              | -              | -              | -              |       |
| Loss on disposal of property & Others                      | 1.7            | 0.7            | 1.7            | (0.1)          | 1.0            | 1.3            | (0.0)          | 2.1              | -             | -             | -              | -              | -              | -              | -              |       |
| <b>Changes in Working Capital</b>                          |                |                |                |                |                |                |                |                  |               |               |                |                |                |                |                |       |
| Accounts Receivable                                        | (135.7)        | (121.7)        | (104.5)        | 104.2          | (115.9)        | 50.6           | (196.3)        | (157.4)          | 77.0          | (187.5)       | 14.3           | (175.6)        | (271.8)        | (160.3)        | 37.1           |       |
| Deferred Commissions                                       | (51.1)         | (69.5)         | (76.0)         | (21.5)         | (24.3)         | (32.7)         | (48.3)         | (126.8)          | (35.2)        | (38.1)        | (40.5)         | (50.5)         | (164.2)        | (194.3)        | (231.0)        |       |
| Prepaid Expenses and Other Assets                          | (6.6)          | (13.5)         | (26.7)         | (10.3)         | 11.3           | (13.1)         | (9.3)          | (21.3)           | (3.3)         | (2.4)         | (4.5)          | (4.2)          | (14.4)         | (22.1)         | (29.2)         |       |
| Other Assets                                               | (5.2)          | 1.0            | (1.0)          | (1.2)          | (1.8)          | (0.2)          | (0.6)          | (3.8)            | (2.0)         | (2.3)         | (1.6)          | (1.5)          | (7.4)          | (9.4)          | (12.3)         |       |
| Accounts Payable                                           | (1.3)          | 57.8           | 25.6           | (10.7)         | 96.4           | (61.3)         | 12.3           | 36.6             | (23.7)        | 115.6         | (79.1)         | (21.6)         | (8.9)          | 44.5           | 35.2           |       |
| Accrued expenses & other current liabilities               | 37.6           | (40.5)         | (1.6)          | 5.6            | (3.3)          | 30.0           | 20.5           | 52.9             | 0.3           | 7.8           | 12.0           | 12.1           | 32.2           | 45.3           | 51.2           |       |
| Deferred Revenue                                           | 168.6          | 231.0          | 197.5          | (13.9)         | 21.1           | 7.0            | 259.1          | 273.3            | (23.2)        | 51.8          | 42.0           | 258.6          | 329.1          | 213.8          | 18.3           |       |
| Other Items and Liabilities                                | -              | -              | -              | -              | -              | -              | -              | -                | -             | -             | -              | -              | -              | -              | -              |       |
| <b>Net Cash Provided by (used in) Operating Activities</b> | <b>418.4</b>   | <b>660.0</b>   | <b>870.6</b>   | <b>271.5</b>   | <b>200.1</b>   | <b>251.5</b>   | <b>327.1</b>   | <b>1,050.1</b>   | <b>259.7</b>  | <b>205.8</b>  | <b>256.5</b>   | <b>348.8</b>   | <b>1,070.9</b> | <b>1,370.9</b> | <b>1,821.0</b> |       |
| YoY Growth                                                 | 46.0%          | 57.7%          | 31.9%          | 28%            | 22%            | 10%            | 23%            | 20.6%            | -4%           | 3%            | 2%             | 7%             | 2.0%           | 28.0%          | 32.8%          |       |
| Margin                                                     | 25.0%          | 31.0%          | 32.4%          | 36%            | 24%            | 28%            | 34%            | 30.6%            | 27%           | 21%           | 25%            | 32%            | 26.2%          | 27.7%          | 29.9%          |       |
| Capital Expenditures                                       | (35.3)         | (27.6)         | (34.7)         | (8.7)          | (15.2)         | (16.8)         | (8.9)          | (49.6)           | (12.0)        | (13.4)        | (14.2)         | (14.2)         | (53.8)         | (63.3)         | (76.9)         |       |
| Capitalized Internal Use Software                          | (29.6)         | (34.8)         | (60.8)         | (18.4)         | (19.6)         | (20.7)         | (27.2)         | (85.8)           | (19.1)        | (19.7)        | (20.8)         | (22.0)         | (81.6)         | (99.0)         | (121.8)        |       |
| Maturities/(Purchases) of Investments                      | (277.9)        | (677.8)        | (634.2)        | (414.4)        | (41.1)         | (164.4)        | (461.1)        | (1,081.1)        | -             | -             | -              | -              | -              | -              | -              |       |
| Net Cash Paid for Acquisitions, Other Assets               | (45.9)         | (6.1)          | (7.1)          | (1.8)          | (115.3)        | (0.2)          | (0.7)          | (118.0)          | -             | -             | -              | -              | -              | -              | -              |       |
| Investment in Unconsolidated Affiliates                    | -              | -              | -              | -              | -              | -              | -              | -                | -             | -             | -              | -              | -              | -              | -              |       |
| Restricted Cash                                            | -              | 4.8            | -              | -              | -              | -              | -              | -                | -             | -             | -              | -              | -              | -              | -              |       |
| Other Investing Activities                                 | -              | 15.0           | -              | -              | -              | -              | -              | -                | -             | -             | -              | -              | -              | -              | -              |       |
| <b>Net Cash Provided by (used in) Investing Activities</b> | <b>(388.7)</b> | <b>(726.6)</b> | <b>(736.8)</b> | <b>(443.4)</b> | <b>(191.1)</b> | <b>(202.2)</b> | <b>(497.9)</b> | <b>(1,334.5)</b> | <b>(31.1)</b> | <b>(33.1)</b> | <b>(35.0)</b>  | <b>(36.3)</b>  | <b>(135.4)</b> | <b>(162.3)</b> | <b>(198.8)</b> |       |
| Proceeds from Issuance of Common Shares                    | -              | -              | -              | -              | -              | -              | -              | -                | -             | -             | -              | -              | -              | -              | -              |       |
| Proceeds from Issuance of Preferred Shares                 | -              | -              | -              | -              | -              | -              | -              | -                | -             | -             | -              | -              | -              | -              | -              |       |
| Proceeds from Exercise of Stock Options and Restricted     | 10.0           | 20.9           | 7.4            | 1.7            | 1.7            | 1.3            | 1.8            | 6.4              | 1.8           | 1.8           | 1.8            | 1.8            | 7.2            | 7.2            | 7.2            |       |
| Net Borrowing                                              | -              | -              | 736.0          | (0.0)          | (635.7)        | -              | -              | (635.7)          | -             | -             | -              | -              | -              | -              | -              |       |
| Other Financing Activities                                 | 26.0           | 37.4           | 43.7           | -              | 28.6           | -              | 28.2           | 56.8             | -             | -             | -              | -              | -              | -              | -              |       |
| <b>Net Cash Provided by (used in) Financing Activities</b> | <b>36.0</b>    | <b>58.3</b>    | <b>787.1</b>   | <b>1.7</b>     | <b>(605.5)</b> | <b>1.3</b>     | <b>30.0</b>    | <b>(572.5)</b>   | <b>1.8</b>    | <b>1.8</b>    | <b>1.8</b>     | <b>1.8</b>     | <b>7.2</b>     | <b>7.2</b>     | <b>7.2</b>     |       |
| Exchange Rate Impact                                       | (1.9)          | 1.2            | (4.2)          | 3.1            | 5.6            | 1.0            | 1.4            | 11.2             | (0.0)         | -             | -              | -              | (0.0)          | -              | -              |       |
| Change in Cash and Cash Equivalents                        | 63.8           | (7.1)          | 916.7          | (167.1)        | (590.8)        | 51.6           | (139.3)        | (845.7)          | 230.4         | 174.5         | 223.4          | 314.4          | 942.7          | 1,215.8        | 1,629.5        |       |
| Change in Cash due to restatements                         | -              | -              | -              | -              | -              | -              | -              | -                | -             | -             | -              | -              | -              | -              | -              |       |
| Cash, Beginning of Period                                  | 273.7          | 337.5          | 330.3          | 1,247.0        | 1,079.9        | 489.1          | 540.6          | 1,247.0          | 401.3         | 631.8         | 806.3          | 1,029.7        | 401.3          | 1,344.0        | 2,559.9        |       |
| <b>Cash, end of Period</b>                                 | <b>337.5</b>   | <b>330.3</b>   | <b>1,247.0</b> | <b>1,079.9</b> | <b>489.1</b>   | <b>540.6</b>   | <b>401.3</b>   | <b>401.3</b>     | <b>631.8</b>  | <b>806.3</b>  | <b>1,029.7</b> | <b>1,344.0</b> | <b>1,344.0</b> | <b>2,559.9</b> | <b>4,189.4</b> |       |
| <b>Free Cash Flow</b>                                      | <b>353.5</b>   | <b>597.5</b>   | <b>775.1</b>   | <b>244.4</b>   | <b>165.4</b>   | <b>214.0</b>   | <b>291.0</b>   | <b>914.7</b>     | <b>228.7</b>  | <b>172.7</b>  | <b>221.6</b>   | <b>312.6</b>   | <b>935.5</b>   | <b>1,208.6</b> | <b>1,622.3</b> |       |
| YoY Growth                                                 | 41.1%          | 69.0%          | 29.7%          | 31%            | 15%            | 5%             | 21%            | 18.0%            | -6%           | 4%            | 4%             | 7%             | 2.3%           | 29.2%          | 34.2%          |       |
| FCF Margin                                                 | 21.1%          | 28.1%          | 28.9%          | 32.1%          | 20.0%          | 24.2%          | 30.5%          | 26.7%            | 23.9%         | 17.6%         | 21.3%          | 28.4%          | 22.9%          | 24.4%          | 26.6%          |       |

Source: Morgan Stanley Research estimates, Company data



## Valuation Methodology and Risks

### MongoDB Inc (MDB.O)

Discount of ~47x Base Case 2029e FCF of \$1,087M. 47x multiple supported by ~25% FCF growth in CY27-CY29 (~1.9x EV/FCF/Growth), a premium to large cap software peers.

#### Risks to Upside

- Stronger Than Expected Traction in Azure, GCP & Alibaba
- Growing displacements of legacy vendors helped by AI tools
- Ramping partner channel makes 20%+ growth more sustainable

#### Risks to Downside

- Increased competition from legacy vendors, open-source peers, and cloud alternatives
- Slowing customer expansion/consumption patterns in Atlas
- Slower progress on profitability and positive free cash flow

### Snowflake Inc. (SNOW.N)

Our base case assumes revenue grows at a 23% CAGR (CY24-CY30), driving ~\$12.5 billion in revenues in CY30 as operating margins scale to ~22% in that year, and generating ~\$3.6 billion in FCF growing at a ~26% FCF CAGR from CY28-CY30. We apply a ~45x EV/FCF multiple to that FCF (~1.7x EV/FCF/Growth) and discount back at a 11.1% discount rate.

#### Risks to Upside

- Disruptive model expands the core data warehousing opportunity, of which Snowflake takes significant share
- Data sharing drives network effects and significantly more usage
- Successful penetration into transactional workloads

#### Risks to Downside

- Competition from the competitive vendors pressures pricing and weighs on growth and margins
- Movement into adjacent data management (i.e. OLTP) use cases proves difficult

## Risk Reward Reference links

1. View explanation of Options Probabilities methodology - [Options\\_Probabilities\\_Exhibit\\_Link.pdf](#)
2. View descriptions of Risk Rewards Themes - [RR\\_Themes\\_Exhibit\\_Link.pdf](#)
3. View explanation of regional hierarchies - [GEG\\_Exhibit\\_Link.pdf](#)
4. View explanation of Theme/Exposure methodology - [ESG\\_Sustainable\\_Solutions\\_External\\_Link.pdf](#)
5. View explanation of HERS methodology - [ESG\\_HERS\\_External\\_Link.pdf](#)

## Disclosure Section

The information and opinions in Morgan Stanley Research were prepared by Morgan Stanley & Co. LLC, and/or Morgan Stanley C.T.V.M. S.A., and/or Morgan Stanley Mexico, Casa de Bolsa, S.A. de C.V., and/or Morgan Stanley Canada Limited. As used in this disclosure section, "Morgan Stanley" includes Morgan Stanley & Co. LLC, Morgan Stanley C.T.V.M. S.A., Morgan Stanley Mexico, Casa de Bolsa, S.A. de C.V., Morgan Stanley Canada Limited and their affiliates as necessary.

For important disclosures, stock price charts and equity rating histories regarding companies that are the subject of this report, please see the Morgan Stanley Research Disclosure Website at [www.morganstanley.com/eqr/disclosures/webapp/generalresearch](http://www.morganstanley.com/eqr/disclosures/webapp/generalresearch), or contact your investment representative or Morgan Stanley Research at 1585 Broadway, (Attention: Research Management), New York, NY, 10036 USA.

For valuation methodology and risks associated with any recommendation, rating or price target referenced in this research report, please contact the Client Support Team as follows: US/Canada +1 800 303-2495; Hong Kong +852 2848-5999; Latin America +1 718 754-5444 (U.S.); London +44 (0)20-7425-8169; Singapore +65 6834-6860; Sydney +61 (0)2-9770-1505; Tokyo +81 (0)3-6836-9000. Alternatively you may contact your investment representative or Morgan Stanley Research at 1585 Broadway, (Attention: Research Management), New York, NY 10036 USA.

### Analyst Certification

The following analysts hereby certify that their views about the companies and their securities discussed in this report are accurately expressed and that they have not received and will not receive direct or indirect compensation in exchange for expressing specific recommendations or views in this report: Sanjit K Singh; Keith Weiss, CFA.

### Global Research Conflict Management Policy

Morgan Stanley Research has been published in accordance with our conflict management policy, which is available at [www.morganstanley.com/institutional/research/conflictolicies](http://www.morganstanley.com/institutional/research/conflictolicies). A Portuguese version of the policy can be found at [www.morganstanley.com.br](http://www.morganstanley.com.br)

### Important Regulatory Disclosures on Subject Companies

As of January 30, 2026, Morgan Stanley beneficially owned 1% or more of a class of common equity securities of the following companies covered in Morgan Stanley Research: Adobe Inc., Akamai Technologies, Inc., Amplitude Inc., Appian Corp, Asana Inc, Atlassian Corporation PLC, Autodesk, BILL Holdings Inc, Blackline Inc, Box Inc, C3.ai, CCC Intelligent Solutions Holdings Inc, Check Point Software Technologies Ltd., Cloudflare Inc, Confluent, Inc., CoreWeave, Coursera, Inc., CrowdStrike Holdings Inc, CyberArk Software Ltd, **Datadog, Inc.**, Descartes Systems Group Inc, DigitalOcean Holdings Inc, DocuSign Inc, Dynatrace Inc, Elastic NV, Figma Inc, Fortinet Inc., Freshworks Inc, Gen Digital Inc., GoDaddy Inc, HubSpot, Inc., Intuit, JFrog Ltd., Klaviyo, Inc, LegalZoom.com Inc, Lightspeed POS Inc., Liveramp Holdings Inc, Manhattan Associates Inc., Microsoft, monday.com Ltd, MongoDB Inc, Nebius Group NV, Netskope, Inc., NICE Ltd., Okta, Inc., OneStream Inc, Oracle Corporation, PagerDuty, Inc., Palantir Technologies Inc., Palo Alto Networks Inc, Qualys Inc, Rapid7 Inc, Sabre Corp, Salesforce, Inc., Samsara Inc, Semrush Holdings Inc -A, SentinelOne, Inc., ServiceNow Inc, Shopify Inc, Snowflake Inc., Sprinklr Inc, Sprout Social Inc, SPS Commerce Inc, Tenable Holdings Inc, Toast, Inc., Twilio Inc, Udemy Inc, UiPath Inc, Varonis Systems, Inc., Vertex Inc., Wix.Com Ltd, Workday Inc, Zscaler Inc.

Within the last 12 months, Morgan Stanley managed or co-managed a public offering (or 144A offering) of securities of Akamai Technologies, Inc., Autodesk, Check Point Software Technologies Ltd., Cloudflare Inc, CoreWeave, CyberArk Software Ltd, DigitalOcean Holdings Inc, Figma Inc, Klaviyo, Inc, Navan Inc, Nebius Group NV, Netskope, Inc., Sabre Corp, SailPoint Inc, Via Transportation Inc, Wix.Com Ltd.

Within the last 12 months, Morgan Stanley has received compensation for investment banking services from Akamai Technologies, Inc., Autodesk, Blackline Inc, CCC Intelligent Solutions Holdings Inc, Check Point Software Technologies Ltd., Cloudflare Inc, Confluent, Inc., CoreWeave, CyberArk Software Ltd, DigitalOcean Holdings Inc, DocuSign Inc, Figma Inc, Intuit, Klaviyo, Inc, Microsoft, Navan Inc, Netskope, Inc., RingCentral Inc, Sabre Corp, SailPoint Inc, Salesforce, Inc., Toast, Inc., Udemy Inc, Via Transportation Inc, Wix.Com Ltd, Workday Inc, Zeta Global Holdings Corp.

In the next 3 months, Morgan Stanley expects to receive or intends to seek compensation for investment banking services from Adobe Inc., Akamai Technologies, Inc., Amplitude Inc., Appian Corp, Asana Inc, Atlassian Corporation PLC, Autodesk, BILL Holdings Inc, Blackline Inc, Box Inc, C3.ai, CCC Intelligent Solutions Holdings Inc, Check Point Software Technologies Ltd., Cloudflare Inc, Commerce.com Inc., Confluent, Inc., CoreWeave, Coursera, Inc., CrowdStrike Holdings Inc, CyberArk Software Ltd, **Datadog, Inc.**, Descartes Systems Group Inc, DigitalOcean Holdings Inc, Docebo Inc., DocuSign Inc, Elastic NV, Figma Inc, Five9 Inc, Fortinet Inc., Freshworks Inc, Gen Digital Inc., GitLab Inc, GoDaddy Inc, HubSpot, Inc., Intuit, JFrog Ltd., Klaviyo, Inc, LegalZoom.com Inc, Lightspeed POS Inc., Liveramp Holdings Inc, Microsoft, monday.com Ltd, MongoDB Inc, Navan Inc, Netskope, Inc., NICE Ltd., Okta, Inc., OneStream Inc, Oracle Corporation, PagerDuty, Inc., Palantir Technologies Inc., Palo Alto Networks Inc, Qualys Inc, Rapid7 Inc, RingCentral Inc, Sabre Corp, SailPoint Inc, Salesforce, Inc., Samsara Inc, Semrush Holdings Inc -A, SentinelOne, Inc., ServiceNow Inc, ServiceTitan Inc, Shopify Inc, Snowflake Inc., Sprinklr Inc, Sprout Social Inc, SPS Commerce Inc, Tenable Holdings Inc, Toast, Inc., Twilio Inc, Udemy Inc, UiPath Inc, Varonis Systems, Inc., Vertex Inc., Via Transportation Inc, Wix.Com Ltd, Workday Inc, Zeta Global Holdings Corp, Zoom Communications, Zscaler Inc.

Within the last 12 months, Morgan Stanley has received compensation for products and services other than investment banking services from Adobe Inc., Akamai Technologies, Inc., Amplitude Inc., Asana Inc, Atlassian Corporation PLC, Autodesk, Blackline Inc, Box Inc, CCC Intelligent Solutions Holdings Inc, Check Point Software Technologies Ltd., Cloudflare Inc, Confluent, Inc., CoreWeave, DocuSign Inc, Fortinet Inc., Freshworks Inc, Gen Digital Inc., HubSpot, Inc., Intuit, Microsoft, monday.com Ltd, MongoDB Inc, NICE Ltd., Oracle Corporation, Palo Alto Networks Inc, RingCentral Inc, Sabre Corp, Salesforce, Inc., SentinelOne, Inc., ServiceNow Inc, Snowflake Inc., Udemy Inc, UiPath Inc, Varonis Systems, Inc., Workday Inc, Zoom Communications, Zscaler Inc.

Within the last 12 months, Morgan Stanley has provided or is providing investment banking services to, or has an investment banking client relationship with, the following company: Adobe Inc., Akamai Technologies, Inc., Amplitude Inc., Appian Corp, Asana Inc, Atlassian Corporation PLC, Autodesk, BILL Holdings Inc, Blackline Inc, Box Inc, C3.ai, CCC Intelligent Solutions Holdings Inc, Check Point Software Technologies Ltd., Cloudflare Inc, Commerce.com Inc., Confluent, Inc., CoreWeave, Coursera, Inc., CrowdStrike Holdings Inc, CyberArk Software Ltd, **Datadog, Inc.**, Descartes Systems Group Inc, DigitalOcean Holdings Inc, Docebo Inc., DocuSign Inc, Elastic NV, Figma Inc, Five9 Inc, Fortinet Inc., Freshworks Inc, Gen Digital Inc., GitLab Inc, GoDaddy Inc, HubSpot, Inc., Intuit, JFrog Ltd., Klaviyo, Inc, LegalZoom.com Inc, Lightspeed POS Inc., Liveramp Holdings Inc, Microsoft, monday.com Ltd, MongoDB Inc, Navan Inc, Nebius Group NV, Netskope, Inc., NICE Ltd., Okta, Inc., OneStream Inc, Oracle Corporation, PagerDuty, Inc., Palantir Technologies Inc., Palo Alto Networks Inc, Qualys Inc, Rapid7 Inc, RingCentral Inc, Sabre Corp, SailPoint Inc, Salesforce, Inc., Samsara Inc, Semrush Holdings Inc -A, SentinelOne, Inc., ServiceNow Inc, ServiceTitan Inc, Shopify Inc, Snowflake Inc., Sprinklr Inc, Sprout Social Inc, SPS Commerce Inc, Tenable Holdings Inc, Toast, Inc., Twilio Inc, Udemy Inc, UiPath Inc, Varonis Systems, Inc., Vertex Inc., Via Transportation Inc, Wix.Com Ltd, Workday Inc, Zeta Global Holdings Corp, Zoom Communications, Zscaler Inc.

Within the last 12 months, Morgan Stanley has either provided or is providing non-investment banking, securities-related services to and/or in the past has entered into an agreement to provide services or has a client relationship with the following company: Adobe Inc., Akamai Technologies, Inc., Amplitude Inc., Asana Inc, Atlassian Corporation PLC, Autodesk, Blackline Inc, Box Inc, CCC Intelligent Solutions Holdings Inc, Check Point Software Technologies Ltd., Cloudflare Inc, Commerce.com Inc., Confluent, Inc., CoreWeave, CyberArk Software Ltd, **Datadog, Inc.**, DocuSign Inc, Five9 Inc, Fortinet Inc., Freshworks Inc, Gen Digital Inc., GoDaddy Inc, HubSpot, Inc., Intuit, Microsoft, monday.com Ltd, MongoDB Inc, Nebius Group NV, NICE Ltd., Oracle Corporation, PagerDuty, Inc., Palo Alto Networks Inc, Qualys Inc, RingCentral Inc, Sabre Corp, Salesforce, Inc., SentinelOne, Inc., ServiceNow Inc, Shopify Inc, Snowflake Inc., Twilio Inc, Udemy Inc, UiPath Inc, Varonis Systems, Inc., Wix.Com Ltd, Workday Inc, Zoom Communications, Zscaler Inc.



An employee, director or consultant of Morgan Stanley is a director of Elastic NV, Tenable Holdings Inc. This person is not a research analyst or a member of a research analyst's household. Morgan Stanley & Co. LLC makes a market in the securities of Amplitude Inc., Appian Corp, Asana Inc, Blackline Inc, Box Inc, Check Point Software Technologies Ltd., Coursera, Inc., Docebo Inc., Five9 Inc, Freshworks Inc, HubSpot, Inc., Klaviyo, Inc, LegalZoom.com Inc, Liveramp Holdings Inc, Manhattan Associates Inc., monday.com Ltd, PagerDuty, Inc., Qualys Inc, Rapid7 Inc, RingCentral Inc, Sabre Corp, Semrush Holdings Inc -A, Sprinklr Inc, Sprout Social Inc, SPS Commerce Inc, Tenable Holdings Inc, Udemy Inc, Varonis Systems, Inc., Vertex Inc., Wix.Com Ltd, ZoomInfo Technologies Inc.

The equity research analysts or strategists principally responsible for the preparation of Morgan Stanley Research have received compensation based upon various factors, including quality of research, investor client feedback, stock picking, competitive factors, firm revenues and overall investment banking revenues. Equity Research analysts' or strategists' compensation is not linked to investment banking or capital markets transactions performed by Morgan Stanley or the profitability or revenues of particular trading desks.

Morgan Stanley and its affiliates do business that relates to companies/instruments covered in Morgan Stanley Research, including market making, providing liquidity, fund management, commercial banking, extension of credit, investment services and investment banking. Morgan Stanley sells to and buys from customers the securities/instruments of companies covered in Morgan Stanley Research on a principal basis. Morgan Stanley may have a position in the debt of the Company or instruments discussed in this report. Morgan Stanley trades or may trade as principal in the debt securities (or in related derivatives) that are the subject of the debt research report.

Certain disclosures listed above are also for compliance with applicable regulations in non-US jurisdictions.

## STOCK RATINGS

Morgan Stanley uses a relative rating system using terms such as Overweight, Equal-weight, Not-Rated or Underweight (see definitions below). Morgan Stanley does not assign ratings of Buy, Hold or Sell to the stocks we cover. Overweight, Equal-weight, Not-Rated and Underweight are not the equivalent of buy, hold and sell. Investors should carefully read the definitions of all ratings used in Morgan Stanley Research. In addition, since Morgan Stanley Research contains more complete information concerning the analyst's views, investors should carefully read Morgan Stanley Research, in its entirety, and not infer the contents from the rating alone. In any case, ratings (or research) should not be used or relied upon as investment advice. An investor's decision to buy or sell a stock should depend on individual circumstances (such as the investor's existing holdings) and other considerations.

## Global Stock Ratings Distribution

(as of January 31, 2026)

The Stock Ratings described below apply to Morgan Stanley's Fundamental Equity Research and do not apply to Debt Research produced by the Firm.

For disclosure purposes only (in accordance with FINRA requirements), we include the category headings of Buy, Hold, and Sell alongside our ratings of Overweight, Equal-weight, Not-Rated and Underweight. Morgan Stanley does not assign ratings of Buy, Hold or Sell to the stocks we cover. Overweight, Equal-weight, Not-Rated and Underweight are not the equivalent of buy, hold, and sell but represent recommended relative weightings (see definitions below). To satisfy regulatory requirements, we correspond Overweight, our most positive stock rating, with a buy recommendation; we correspond Equal-weight and Not-Rated to hold and Underweight to sell recommendations, respectively.

| Stock Rating Category | Coverage Universe |            | Investment Banking Clients (IBC) |                |                      | Other Material Investment Services Clients (MISC) |                       |
|-----------------------|-------------------|------------|----------------------------------|----------------|----------------------|---------------------------------------------------|-----------------------|
|                       | Count             | % of Total | Count                            | % of Total IBC | % of Rating Category | Count                                             | % of Total Other MISC |
| Overweight/Buy        | 1520              | 41%        | 425                              | 48%            | 28%                  | 685                                               | 42%                   |
| Equal-weight/Hold     | 1579              | 43%        | 375                              | 42%            | 24%                  | 713                                               | 44%                   |
| Not-Rated/Hold        | 4                 | 0%         | 1                                | 0%             | 25%                  | 1                                                 | 0%                    |
| Underweight/Sell      | 592               | 16%        | 89                               | 10%            | 15%                  | 232                                               | 14%                   |
| Total                 | 3,695             |            | 890                              |                |                      | 1631                                              |                       |

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

## Analyst Stock Ratings

Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Underweight (U). The stock's total return is expected to be below the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

## Analyst Industry Views

Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.

Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below.

Benchmarks for each region are as follows: North America - S&P 500; Latin America - relevant MSCI country index or MSCI Latin America Index; Europe - MSCI Europe; Japan - TOPIX; Asia - relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

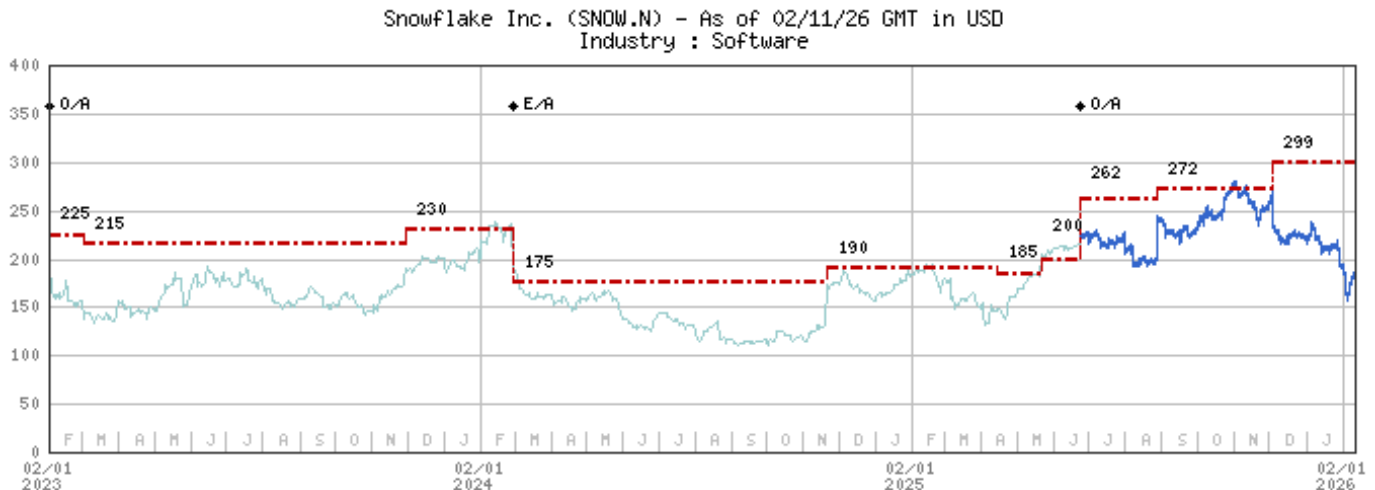
## Stock Price, Price Target and Rating History (See Rating Definitions)

Datadog, Inc. (DDOG.O) - As of 02/11/26 GMT in USD  
Industry : Software



MongoDB Inc (MDB.O) - As of 02/11/26 GMT in USD  
Industry : Software





Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

## Important Disclosures for Morgan Stanley Smith Barney LLC Customers

Important disclosures regarding any material conflict of interest that can reasonably be expected to have influenced Morgan Stanley Smith Barney LLC's choice of a third-party research provider or the subject company of a third-party research report, are available on the Morgan Stanley Wealth Management disclosure website at [www.morganstanley.com/online/researchdisclosures](http://www.morganstanley.com/online/researchdisclosures). For Morgan Stanley specific disclosures, you may refer to <https://www.morganstanley.com/eqr/disclosures/webapp/generalresearch>.

Each Morgan Stanley research report is reviewed and approved on behalf of Morgan Stanley Smith Barney LLC. This review and approval is conducted by the same person who reviews the research report on behalf of Morgan Stanley. This could create a conflict of interest.

## Other Important Disclosures

A member of Research who had or could have had access to the research prior to completion owns securities (or related derivatives) in the Atlassian Corporation PLC, Microsoft, Workday Inc. This person is not a research analyst or a member of research analyst's household.

Morgan Stanley Research policy is to update research reports as and when the Research Analyst and Research Management deem appropriate, based on developments with the issuer, the sector, or the market that may have a material impact on the research views or opinions stated therein. In addition, certain Research publications are intended to be updated on a regular periodic basis (weekly/monthly/quarterly/annual) and will ordinarily be updated with that frequency, unless the Research Analyst and Research Management determine that a different publication schedule is appropriate based on current conditions.

Morgan Stanley is not acting as a municipal advisor and the opinions or views contained herein are not intended to be, and do not constitute, advice within the meaning of Section 975 of the Dodd-Frank Wall Street Reform and Consumer Protection Act.

Morgan Stanley produces an equity research product called a "Tactical Idea." Views contained in a "Tactical Idea" on a particular stock may be contrary to the recommendations or views expressed in research on the same stock. This may be the result of differing time horizons, methodologies, market events, or other factors. For all research available on a particular stock, please contact your sales representative or go to Matrix at <http://www.morganstanley.com/matrix>.

Morgan Stanley Research is provided to our clients through our proprietary research portal on Matrix and also distributed electronically by Morgan Stanley to clients. Certain, but not all, Morgan Stanley Research products are also made available to clients through third-party vendors or redistributed to clients through alternate electronic means as a convenience. For access to all available Morgan Stanley Research, please contact your sales representative or go to Matrix at <http://www.morganstanley.com/matrix>.

Any access and/or use of Morgan Stanley Research is subject to Morgan Stanley's Terms of Use (<http://www.morganstanley.com/terms.html>). By accessing and/or using Morgan Stanley Research, you are indicating that you have read and agree to be bound by our Terms of Use (<http://www.morganstanley.com/terms.html>). In addition you consent to Morgan Stanley processing your personal data and using cookies in accordance with our Privacy Policy and our Global Cookies Policy ([http://www.morganstanley.com/privacy\\_pledge.html](http://www.morganstanley.com/privacy_pledge.html)), including for the purposes of setting your preferences and to collect readership data so that we can deliver better and more personalized service and products to you. To find out more information about how Morgan Stanley processes personal data, how we use cookies and how to reject cookies see our Privacy Policy and our Global Cookies Policy ([http://www.morganstanley.com/privacy\\_pledge.html](http://www.morganstanley.com/privacy_pledge.html)). Please use the provided link to review the Terms and Conditions and Most Important Terms and Conditions for Morgan Stanley India Company Private Limited ([https://www.morganstanley.com/assets/pdfs/about-us-global-offices/india/Terms\\_and\\_conditions.pdf](https://www.morganstanley.com/assets/pdfs/about-us-global-offices/india/Terms_and_conditions.pdf)) and the following link to review the audit report ([https://www.morganstanley.com/assets/pdfs/about-us-global-offices/india/Research\\_Audit\\_Report.pdf](https://www.morganstanley.com/assets/pdfs/about-us-global-offices/india/Research_Audit_Report.pdf)).

If you do not agree to our Terms of Use and/or if you do not wish to provide your consent to Morgan Stanley processing your personal data or using cookies please do not access our research. Morgan Stanley Research does not provide individually tailored investment advice. Morgan Stanley Research has been prepared without regard to the circumstances and objectives of those who receive it. Morgan Stanley recommends that investors independently evaluate particular investments and strategies, and encourages investors to seek the advice of a financial adviser. The appropriateness of an investment or strategy will depend on an investor's circumstances and objectives. The securities, instruments, or strategies discussed in Morgan Stanley Research may not be suitable for all investors, and certain investors may not be eligible to purchase or participate in some or all of them. Morgan Stanley Research is not an offer to buy or sell or the solicitation of an offer to buy or sell any security/instrument or to participate in any particular trading strategy. The value of and income from your investments may vary because of changes in interest rates, foreign exchange rates, default rates, prepayment rates, securities/instruments prices, market indexes, operational or financial conditions of companies or other factors. There may be time limitations on the exercise of options or other rights in securities/instruments transactions. Past performance is not necessarily a guide to future performance. Estimates of future performance are based on assumptions that may not be realized. If provided, and unless otherwise stated, the closing price on the cover page is that of the primary exchange for the subject company's securities/instruments.

The fixed income research analysts, strategists or economists principally responsible for the preparation of Morgan Stanley Research have received compensation based upon various factors, including quality, accuracy and value of research, firm profitability or revenues (which include fixed income trading and capital markets profitability or revenues), client feedback and competitive factors. Fixed Income Research analysts', strategists' or economists' compensation is not linked to investment banking or capital markets transactions performed by Morgan Stanley or the profitability or revenues of particular trading desks.

The "Important Regulatory Disclosures on Subject Companies" section in Morgan Stanley Research lists all companies mentioned where Morgan Stanley owns 1% or more of a class of common equity securities of the companies. For all other companies mentioned in Morgan Stanley Research, Morgan Stanley may have an investment of less than 1% in securities/instruments or derivatives of securities/instruments of companies and may trade them in ways different from those discussed in Morgan Stanley Research. Employees of Morgan Stanley not involved in the preparation of Morgan Stanley Research may have investments in securities/instruments or derivatives of securities/instruments of companies mentioned and may trade them in ways different from those discussed in Morgan Stanley Research. Derivatives may be issued by Morgan Stanley or associated persons.

With the exception of information regarding Morgan Stanley, Morgan Stanley Research is based on public information. Morgan Stanley makes every effort to use reliable, comprehensive information, but we make no representation that it is accurate or complete. We have no obligation to tell you when opinions or information in Morgan Stanley Research change apart from when we intend to discontinue equity research coverage of a subject company. Facts and views presented in Morgan Stanley Research have not been reviewed by, and may not reflect information known to, professionals in other Morgan Stanley business areas, including investment banking personnel.

Morgan Stanley Research personnel may participate in company events such as site visits and are generally prohibited from accepting payment by the company of associated expenses unless pre-approved by authorized members of Research management.

Morgan Stanley may make investment decisions that are inconsistent with the recommendations or views in this report.

To our readers based in Taiwan or trading in Taiwan securities/instruments: Information on securities/instruments that trade in Taiwan is distributed by Morgan Stanley Taiwan Limited ("MSTL"). Such information is for your reference only. The reader should independently evaluate the investment risks and is solely responsible for their investment decisions. Morgan Stanley Research may not be distributed to the public media or quoted or used by the public media without the express written consent of Morgan Stanley. Any non-customer reader within the scope of Article 7-1 of the Taiwan Stock Exchange Recommendation Regulations accessing and/or receiving Morgan Stanley Research is not permitted to provide Morgan Stanley Research to any third party (including but not limited to related parties, affiliated companies and any other third parties) or engage in any activities regarding Morgan Stanley Research which may create or give the appearance of creating a conflict of interest. Information on securities/instruments that do not trade in Taiwan is for informational purposes only and is not to be construed as a recommendation or a solicitation to trade in such securities/instruments. MSTL may not execute transactions for clients in these securities/instruments.

Morgan Stanley is not incorporated under PRC law and the research in relation to this report is conducted outside the PRC. Morgan Stanley Research does not constitute an offer to sell or the solicitation of an offer to buy any securities in the PRC. PRC investors shall have the relevant qualifications to invest in such securities and shall be responsible for obtaining all relevant approvals, licenses, verifications and/or registrations from the relevant governmental authorities themselves. Neither this report nor any part of it is intended as, or shall constitute, provision of any consultancy or advisory service of securities investment as defined under PRC law. Such information is provided for your reference only.

Morgan Stanley Research is disseminated in Brazil by Morgan Stanley C.T.V.M. S.A. located at Av. Brigadeiro Faria Lima, 3600, 6th floor, São Paulo - SP, Brazil; and is regulated by the Comissão de Valores Mobiliários; in Mexico by Morgan Stanley México, Casa de Bolsa, S.A. de C.V. which is regulated by Comisión Nacional Bancaria y de Valores. Paseo de los Tamarindos 90, Torre 1, Col. Bosques de las Lomas Floor 29, 05120 Mexico City; in Japan by Morgan Stanley MUFG Securities Co., Ltd. and, for Commodities related research reports only, Morgan Stanley Capital Group Japan Co., Ltd; in Hong Kong by Morgan Stanley Asia Limited (which accepts responsibility for its contents) and by Morgan Stanley Bank Asia Limited; in Singapore by Morgan Stanley Asia (Singapore) Pte. (Registration number 199206298Z) and/or Morgan Stanley Asia (Singapore) Securities Pte Ltd (Registration number 200008434H), regulated by the Monetary Authority of Singapore (which accepts legal responsibility for its contents and should be contacted with respect to any matters arising from, or in connection with, Morgan Stanley Research) and by Morgan Stanley Bank Asia Limited, Singapore Branch (Registration number T14FCO118); in Australia to "wholesale clients" within the meaning of the Australian Corporations Act by Morgan Stanley Australia Limited A.B.N. 67 003 734 576, holder of Australian financial services license No. 233742, which accepts responsibility for its contents; in Australia to "wholesale clients" and "retail clients" within the meaning of the Australian Corporations Act by Morgan Stanley Wealth Management Australia Pty Ltd (A.B.N. 19 009 145 555, holder of Australian financial services license No. 240813, which accepts responsibility for its contents; in Korea by Morgan Stanley & Co International plc, Seoul Branch; in India by Morgan Stanley India Company Private Limited having Corporate Identification No (CIN) U22990MH1998PTC115305, regulated by the Securities and Exchange Board of India ("SEBI") and holder of licenses as a Research Analyst (SEBI Registration No. INH000001105); Stock Broker (SEBI Stock Broker Registration No. INZ000244438), Merchant Banker (SEBI Registration No. INM000011203), and depository participant with National Securities Depository Limited (SEBI Registration No. IN-DP-NSDL-567-2021) having registered office at Altimus, Level 39 & 40, Pandurang Budhkar Marg, Worli, Mumbai 400018, India; Telephone no. +91-22-61181000; Compliance Officer Details: Mr. Tejarshi Hardas, Tel. No.: +91-22-61181000 or Email: tejarshi.hardas@morganstanley.com; Grievance officer details: Mr. Tejarshi Hardas, Tel. No.: +91-22-61181000 or Email: msic-compliance@morganstanley.com. Morgan Stanley India Company Private Limited (MSICPL) may use AI tools in providing research services. All recommendations contained herein are made by the duly qualified research analysts; in Canada by Morgan Stanley Canada Limited; in Germany and the European Economic Area where required by Morgan Stanley Europe S.E., authorised and regulated by Bundesanstalt fuer Finanzdienstleistungsaufsicht (BaFin) under the reference number 14-9169; in the US by Morgan Stanley & Co. LLC, which accepts responsibility for its contents. Morgan Stanley & Co. International plc, authorized by the Prudential Regulation Authority and regulated by the Financial Conduct Authority and the Prudential Regulation Authority, disseminates in the UK research that it has prepared, and research which has been prepared by any of its affiliates, only to persons who (i) are investment professionals falling within Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (as amended, the "Order"); (ii) are persons who are high net worth entities falling within Article 49(2)(a) to (d) of the Order; or (iii) are persons to whom an invitation or inducement to engage in investment activity (within the meaning of section 21 of the Financial Services and Markets Act 2000, as amended) may otherwise lawfully be communicated or caused to be communicated. RMB Morgan Stanley Proprietary Limited is a member of the JSE Limited and A2X (Pty) Ltd. RMB Morgan Stanley Proprietary Limited is a joint venture owned equally by Morgan Stanley International Holdings Inc. and RMB Investment Advisory (Proprietary) Limited, which is wholly owned by FirstRand Limited. The information in Morgan Stanley Research is being disseminated by Morgan Stanley Saudi Arabia, regulated by the Capital



Market Authority in the Kingdom of Saudi Arabia, and is directed at Sophisticated investors only.

The information in Morgan Stanley Research is being communicated by Morgan Stanley & Co. International plc (DIFC Branch), regulated by the Dubai Financial Services Authority (the DFSA) or by Morgan Stanley & Co. International plc (ADGM Branch), regulated by the Financial Services Regulatory Authority Abu Dhabi (the FSRA), and is directed at Professional Clients only, as defined by the DFSA or the FSRA, respectively. The financial products or financial services to which this research relates will only be made available to a customer who we are satisfied meets the regulatory criteria of a Professional Client. A distribution of the different MS Research ratings or recommendations, in percentage terms for Investments in each sector covered, is available upon request from your sales representative.

The information in Morgan Stanley Research is being communicated by Morgan Stanley & Co. International plc (QFC Branch), regulated by the Qatar Financial Centre Regulatory Authority (the QFCRA), and is directed at business customers and market counterparties only and is not intended for Retail Customers as defined by the QFCRA.

As required by the Capital Markets Board of Turkey, investment information, comments and recommendations stated here, are not within the scope of investment advisory activity. Investment advisory service is provided exclusively to persons based on their risk and income preferences by the authorized firms. Comments and recommendations stated here are general in nature. These opinions may not fit to your financial status, risk and return preferences. For this reason, to make an investment decision by relying solely to this information stated here may not bring about outcomes that fit your expectations.

The trademarks and service marks contained in Morgan Stanley Research are the property of their respective owners. Third-party data providers make no warranties or representations relating to the accuracy, completeness, or timeliness of the data they provide and shall not have liability for any damages relating to such data. The Global Industry Classification Standard (GICS) was developed by and is the exclusive property of MSCI and S&P.

Morgan Stanley Research, or any portion thereof may not be reprinted, sold or redistributed without the written consent of Morgan Stanley.

Indicators and trackers referenced in Morgan Stanley Research may not be used as, or treated as, a benchmark under Regulation EU 2016/1011, or any other similar framework.

The issuers and/or fixed income products recommended or discussed in certain fixed income research reports may not be continuously followed. Accordingly, investors should regard those fixed income research reports as providing stand-alone analysis and should not expect continuing analysis or additional reports relating to such issuers and/or individual fixed income products. Morgan Stanley may hold, from time to time, material financial and commercial interests regarding the company subject to the Research report.

Registration granted by SEBI and certification from the National Institute of Securities Markets (NISM) in no way guarantee performance of the intermediary or provide any assurance of returns to investors. Investment in securities market are subject to market risks. Read all the related documents carefully before investing.

## INDUSTRY COVERAGE: Software

| COMPANY (TICKER)                     | RATING (AS OF) | PRICE* (02/10/2026) |
|--------------------------------------|----------------|---------------------|
| <b>Chris Quintero</b>                |                |                     |
| BILL Holdings Inc (BILL.N)           | E (06/10/2025) | \$50.61             |
| Blackline Inc (BL.O)                 | O (09/29/2024) | \$44.33             |
| Descartes Systems Group Inc (DSGX.O) | O (01/15/2026) | \$69.33             |
| Manhattan Associates Inc. (MANH.O)   | E (10/21/2025) | \$149.63            |
| Navan Inc (NAVN.O)                   | O (11/24/2025) | \$11.19             |
| OneStream Inc (OS.O)                 | E (01/06/2026) | \$23.56             |
| SPS Commerce Inc (SPSC.O)            | E (11/11/2025) | \$74.83             |
| Vertex Inc. (VERX.O)                 | O (01/17/2024) | \$14.88             |
| <b>Elizabeth Porter, CFA</b>         |                |                     |
| Amplitude Inc. (AMPL.O)              | O (01/15/2026) | \$7.31              |
| Autodesk (ADSK.O)                    | O (08/23/2024) | \$243.58            |
| Figma Inc (FIG.N)                    | E (08/25/2025) | \$24.10             |
| Five9 Inc (FIVN.O)                   | E (10/10/2022) | \$17.77             |
| Freshworks Inc (FRSH.O)              | E (10/18/2021) | \$8.73              |
| GoDaddy Inc (GDDY.N)                 | E (07/19/2021) | \$96.09             |
| HubSpot, Inc. (HUBS.N)               | O (03/21/2023) | \$231.95            |
| Klaviyo, Inc (KVYO.N)                | O (09/19/2025) | \$21.12             |
| LegalZoom.com Inc (LZ.O)             | U (07/28/2022) | \$7.69              |
| Liveramp Holdings Inc (RAMP.N)       | E (01/13/2025) | \$24.10             |
| NICE Ltd. (NICE.O)                   | O (10/16/2023) | \$113.57            |
| RingCentral Inc (RNG.N)              | E (08/08/2023) | \$28.92             |
| Semrush Holdings Inc -A (SEMR.N)     | E (08/05/2025) | \$11.84             |
| Sprinklr Inc (CXM.N)                 | E (07/19/2021) | \$5.89              |
| Sprout Social Inc (SPT.O)            | E (11/17/2020) | \$7.96              |
| Twilio Inc (TWLO.N)                  | O (02/24/2025) | \$118.76            |
| Wix.Com Ltd (WIX.O)                  | O (01/13/2025) | \$75.35             |
| Zeta Global Holdings Corp (ZETA.N)   | E (08/01/2024) | \$17.17             |
| ZoomInfo Technologies Inc (GTM.O)    | E (02/01/2024) | \$6.63              |

**Josh Baer, CFA**

|                                                |                |         |
|------------------------------------------------|----------------|---------|
| Asana Inc (ASAN.N)                             | U (05/20/2025) | \$8.22  |
| Box Inc (BOX.N)                                | E (05/21/2024) | \$24.49 |
| CCC Intelligent Solutions Holdings Inc (CCC.O) | O (11/13/2024) | \$5.52  |
| Commerce.com Inc. (CMRC.O)                     | U (01/20/2026) | \$3.03  |
| Coursera, Inc. (COUR.N)                        | ++             | \$5.90  |
| DigitalOcean Holdings Inc (DOCN.N)             | O (01/16/2025) | \$64.08 |
| Docebo Inc. (DCBO.O)                           | E (05/12/2025) | \$19.55 |
| DocuSign Inc (DOCU.O)                          | E (01/16/2024) | \$47.62 |
| Lightspeed POS Inc. (LSPD.N)                   | E (02/18/2021) | \$9.25  |
| monday.com Ltd (MNDY.O)                        | O (08/12/2025) | \$74.11 |
| Nebius Group NV (NBIS.O)                       | E (01/15/2026) | \$91.79 |
| Sabre Corp (SABR.O)                            | E (03/16/2021) | \$1.16  |
| ServiceTitan Inc (TTAN.O)                      | O (01/20/2026) | \$64.66 |
| Toast, Inc. (TOST.N)                           | O (12/16/2021) | \$29.47 |
| Udemy Inc (UDMY.O)                             | ++             | \$4.70  |
| Via Transportation Inc (VIA.N)                 | O (01/20/2026) | \$20.85 |
| Zoom Communications (ZM.O)                     | E (10/11/2022) | \$94.99 |

**Keith Weiss, CFA**

|                                    |                |          |
|------------------------------------|----------------|----------|
| Adobe Inc. (ADBE.O)                | E (09/24/2025) | \$264.67 |
| Atlassian Corporation PLC (TEAM.O) | O (01/13/2020) | \$92.92  |
| Cloudflare Inc (NET.N)             | O (12/02/2024) | \$179.98 |
| CoreWeave (CRWV.O)                 | E (04/22/2025) | \$95.11  |
| Intuit (INTU.O)                    | O (02/26/2025) | \$421.39 |
| Microsoft (MSFT.O)                 | O (01/13/2016) | \$413.27 |
| Oracle Corporation (ORCL.N)        | E (01/15/2019) | \$159.89 |
| Salesforce, Inc. (CRM.N)           | O (12/21/2023) | \$193.45 |
| Samsara Inc (IOT.N)                | E (03/23/2023) | \$27.90  |
| ServiceNow Inc (NOW.N)             | O (09/24/2025) | \$106.48 |
| Shopify Inc (SHOP.O)               | O (04/19/2024) | \$127.24 |
| Workday Inc (WDAY.O)               | E (02/19/2025) | \$153.23 |

**Meta A Marshall**

|                                                 |                |          |
|-------------------------------------------------|----------------|----------|
| Check Point Software Technologies Ltd. (CHKP.O) | E (10/16/2023) | \$180.57 |
| CrowdStrike Holdings Inc (CRWD.O)               | E (07/14/2025) | \$413.39 |
| CyberArk Software Ltd (CYBR.O)                  | E (01/09/2024) | \$408.85 |
| Fortinet Inc. (FTNT.O)                          | U (09/02/2025) | \$85.53  |
| Gen Digital Inc. (GEN.O)                        | E (06/07/2024) | \$25.17  |
| Netskope, Inc. (NTSK.O)                         | O (10/13/2025) | \$12.22  |
| Okta, Inc. (OKTA.O)                             | O (12/02/2024) | \$88.45  |
| Palo Alto Networks Inc (PANW.O)                 | O (10/10/2017) | \$165.51 |
| Qualys Inc (QLYS.O)                             | U (02/09/2021) | \$113.39 |
| Rapid7 Inc (RPD.O)                              | E (08/11/2015) | \$10.39  |
| SailPoint Inc (SAIL.O)                          | O (09/02/2025) | \$15.21  |
| SentinelOne, Inc. (S.N)                         | E (12/02/2024) | \$13.73  |
| Tenable Holdings Inc (TENB.O)                   | E (12/02/2024) | \$22.90  |
| Varonis Systems, Inc. (VRNS.O)                  | E (01/26/2026) | \$26.26  |
| Zscaler Inc (ZS.O)                              | O (09/02/2025) | \$174.34 |

**Sanjit K Singh**

|                                    |                |          |
|------------------------------------|----------------|----------|
| Akamai Technologies, Inc. (AKAM.O) | O (01/12/2026) | \$94.40  |
| Appian Corp (APPN.O)               | O (01/12/2026) | \$26.28  |
| C3.ai (AI.N)                       | U (01/04/2021) | \$11.48  |
| Confluent, Inc. (CFLT.O)           | ++             | \$30.59  |
| Datadog, Inc. (DDOG.O)             | O (01/12/2026) | \$129.67 |
| Dynatrace Inc (DT.N)               | E (02/13/2024) | \$36.80  |

|                                     |                |          |
|-------------------------------------|----------------|----------|
| Elastic NV (ESTC.N)                 | O (12/16/2024) | \$63.38  |
| GitLab Inc (GTLB.O)                 | E (01/12/2026) | \$31.55  |
| JFrog Ltd. (FROG.O)                 | O (12/21/2023) | \$53.20  |
| MongoDB Inc (MDB.O)                 | O (04/12/2023) | \$377.26 |
| PagerDuty, Inc. (PD.N)              | E (01/24/2024) | \$7.82   |
| Palantir Technologies Inc. (PLTR.O) | E (02/04/2025) | \$139.51 |
| Snowflake Inc. (SNOW.N)             | O (06/24/2025) | \$182.58 |
| UiPath Inc (PATH.N)                 | E (09/07/2022) | \$12.95  |

Stock Ratings are subject to change. Please see latest research for each company.

\* Historical prices are not split adjusted.

© 2026 Morgan Stanley